Strengthening process safety through standardised interventions

- Process Hazard Analysis (PHA) is carried out for high-risk operations across Tata Steel Limited, including TSN, TSUK and TSTH, to prevent leaks, explosions and equipment failures.
- Pre-Start-Up Safety Reviews (PSSR) are mandatory before commissioning new equipment or processes, ensuring safety controls are fully established.
- A structured Management of Change (MoC) process governs temporary and permanent changes to equipment, infrastructure, manufacturing processes and materials to prevent unintended risk escalation.
- Emergency Mock Drills are conducted regularly across India, TSUK, TSN and TSTH to assess preparedness and response effectiveness for fires, toxic gas leaks and power failures.

Digital and technology-enabled safety transformation

- Digital Interventions leverage advanced digital dashboards for real time hazard detection, reporting, corrective action tracking and closure across sites. Simplified digital e-Permits standardise permit-to-work processes and shorten approval cycles across Tata Steel operations.
- The Connected Workforce Platform uses plant wide heat maps and electronic data analytics to continuously assess risks related to personnel, processes and assets.
- Integrated Remote Operation Centres (iRoC) reduce physical presence in hazardous environments while improving ergonomics and operational consistency.
- The EnsafeNxt System, enhanced with Gen AI-enabled modules, improves data quality and simplifies safety observation logging and analysis.
- The Safety Performance Index (SPI) enables leadership to track safety performance through integrated leading and lagging KPIs.
- Safety Alert Command Centres at major sites provide real-time monitoring and coordinated management of safety incidents.

In addition to group-level initiatives, Tata Steel Limited implements location-specific risk-management practices aligned to the enterprise safety framework.

Work-related hazards are identified and managed across TSN through centrally developed Hazard Identification and Risk Assessments (HIRAs). Task-specific safe working procedures, mandatory training, continuous safety-data monitoring and app enabled permit-to-work controls are embedded across operations. Learnings from incident investigations and process-safety reviews are systematically fed back into risk assessments and controls.

TSUK manages hazards and risks through an integrated Hazard Identification and Risk Management framework using standardised risk tools, site hazard registers, specialist and dynamic risk assessments, contractor and permit controls, and trained, competent personnel.

TSTH has outlined a series of comprehensive safety campaigns for the fiscal year, focusing on critical safety areas, including material handling, fire and explosion hazards, positive isolation practices, and process safety management. To support these initiatives, TSTH has implemented Life Saving Rules, installed enhanced forklift and crane visibility systems, introduced Automated External Defibrillators (AEDs), and deployed advanced AI CCTV systems to enhance detection of human presence, operational risks, and safety compliance.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks.

Tata Steel empowers all workers to stop unsafe work and encourages prompt reporting of incidents and near-misses through IT-enabled platforms that support quick investigation and organisational learning. The Company's processes identify root causes and implement corrective actions in line with the Tata Steel Incident Management System. The 'Speak Up' helpline allows employees to raise safety concerns anonymously. Regular safety audits, assessments, and walk-downs by internal and external experts further strengthen workplace safety.

TSN enables workers to report hazards through multiple channels under the TrueSafe programme, with all reported unsafe conditions systematically reviewed and closed through structured governance processes. These platforms encourage reporting of incidents like occupational safety events, environmental issues, process safety events, and fires.

TSUK uses a single Safety, Health and Environment IT platform (Salus) to enable employees and contractors to report incidents, track corrective actions, monitor performance, support investigations, and reinforce emergency preparedness.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services?

The Company provides its employees in India access to non-occupational medical and healthcare services, such as hospitals, dispensaries, and health insurance. Contract workers in India are covered via statutory schemes such as ESIC, with additional support available through Company welfare schemes. At overseas locations our employees have access to national health services provided by national governments.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	Tata Steel Standalone		Tata Steel Consolidated	
		FY2025-26	FY2024-25	FY2025-26	FY2024-25
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.49	0.39	0.64	0.64
	Workers	0.36	0.29	0.38	0.32
Total recordable work-related injuries	Employees	185	196	359	551
	Workers	524	481	666	652
No. of fatalities	Employees	-	1	1	1
	Workers	5	4	8	4
High consequence work-related injury or ill-health (excluding fatalities)	Employees	3	4	3	7
	Workers	20	18	21	20
Number of Permanent Disabilities	Employees	-	-	-	-
	Workers	-	-	-	-

Note 1: *Employees include all personnel on rolls of the Company. Workers include third party contractors. This definition is applicable to this table only.*

Note 2: *Reasonable Assurance has been undertaken by Price Waterhouse & Co Chartered Accountants LLP, on number of Permanent Disabilities, Lost Time Injury Frequency Rate (LTIFR) and No. of fatalities in the table above for Standalone figures for FY2025-26 (highlighted in green).*

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

Tata Steel aims for zero harm and sustains a safe, healthy workplace through an ISO 45001:2018–aligned OHS management system embedded in annual business planning. The programme is executed through various initiatives. Key initiatives taken in FY2025-26 are given below:

- **Build safety leadership capability:** FY2025-26 governance reset, advanced NEBOSH process safety training for senior leaders, structured safety communication forums, Annual Business Plan linked deployment, cross learning from incidents, standardised reward & recognition, and technology enabled risk reduction.
- **Enhance hazard identification competency:** Safety Leadership Development and Practical Safety Training Centres, real time incident management via the Safety Alert Command Centre, URJA 2.0 and SASS training for supervisors, and focused prevention campaigns such as Fall of Object and Elimination of Commonly Accepted Unsafe Practices (**'ECAUP'**).
- **Contractor safety risk management:** Periodic evaluations, skill upgrades, quarterly vendor audits, simplified contractor star rating, standardised Personal Protective Equipment (**'PPE'**) supply, and instant recognition through the Suraksha Mitra Award.
- **Road and rail safety:** Technology enabled fleet monitoring, paperless processes, speed monitoring systems, ground steward coordination, and 100% CCTV coverage of critical assets.
- **Process safety excellence:** Real time equipment monitoring, early warning alerts, strengthened Pre-Start-Up Safety Review (**'PSSR'**), explosion proof control rooms, safe disposal systems, and integration of learnings into new projects.
- **Promote a proactive safety culture:** Regular risk updates, strengthened process-safety barriers, and AI-enabled insights, command-centre video analytics.

13. Number of Complaints on the following made by employees and workers:

	FY2025-26		FY2024-25	
	Filed during the year	Pending resolution at the end of year	Filed during the year	Pending resolution at the end of year
Working Conditions	-	-	1	-
Health & Safety	582	-	449	-

14. Assessments for the year:

	% of your plants and offices that were assessed (By entity or statutory authorities or third parties) standard
Health and safety practices	100
Working Conditions	100

Note: *Assessment by Internal team of Tata Steel*

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks/concerns arising from assessments of health and safety practices and working conditions:

All safety incidents and near-misses are investigated, and risk mitigation is performed according to our incident classification, reporting, and investigation safety standards. This process is supported by EnsafeNxt, an IT based platform, where all safety related incidents, observations, etc. are recorded. It is guided by our Environment, Health, and Safety risk management framework. Findings from high-potential incidents are discussed in various Apex meetings, in line with our safety governance structure and safety strategies. The implementation of lessons learned is reviewed by the respective Divisional Implementation Committees, which are chaired by the Vice Presidents. An online dashboard, the Safety Performance Index (SPI), is used to review and track key safety actions. The actions taken under the six safety strategies are listed in Question 12 (Principle 3 Essential Indicator) above.

Risk assessments are conducted periodically and in a structured manner, involving extensive engagement from leadership and cross-functional audits. The process of corrective actions, their horizontal deployment, and communication is continuous at Tata Steel Limited. Moreover, a distinct corpus is earmarked for addressing key safety concerns through engineering solutions. These projects are prioritised on the basis of their risk scores. In addition to these, the learning from incidents are shared across geographies and applicable recommendations to prevent recurrence are deployed and monitored.

TSN addresses safety-related incidents and significant health and safety risks through structured corrective actions defined from incident investigations and safety data analyses. Lessons learned from incidents, including process-safety events, are translated into updated risk assessments, control measures and safe working procedures, supported where relevant by the Process-Based Problem Solving methodology. The implementation of corrective actions is monitored monthly at business-unit and Board of Management level, with quarterly in-depth analyses and trend reviews to identify recurring issues and emerging risks. In addition, significant risks identified through assessments have led to strengthened contractor safety controls, expanded use of digital permit-to-work tools (WRapp 2.0), enhanced safety training, and continued focus on proactive safety culture through the TrueSafe programme.

TSUK drives safety, health, and environment improvement through an annual planning process informed by incident investigations, audit findings, legal and regulatory requirements, enterprise-risk reviews, and a political, economic, social, technological, legal, and environmental assessment, with corrective actions captured and tracked through a single, group-wide safety, health, and environment information technology platform.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (B) Workers.

A) Employees – Yes B) Workers – Yes

Tata Steel offers various social security schemes in India to ensure the continuity of living standards for employees and their families. These include:

Family Support Scheme: For death due to workplace accidents.

Family Benefit Scheme: For death due to non-workplace accidents or while commuting.

Employee Family Benefit Scheme: For death while in service.

Medical Separation Scheme: For disability while in service.

Suraksha Scheme: Financial stability for non-permanent workers' families in case of workplace accidents.

Similar schemes are available in Tata Steel's Indian entities, including a Family Protection Scheme started for COVID-19 fatalities.

In case of overseas entities, TSN's pension fund provides pensions for surviving partners.

Members of the Pension Scheme may receive up to four times their pensionable pay upon death, paid to beneficiaries or other identified persons in TSUK.

In TSTH employees are covered under the National Pension Scheme and social security schemes for health and accident insurance.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

Tata Steel has a structured governance framework to ensure that its value chain partners comply with statutory requirements related to employee welfare, including timely deduction and deposit of dues such as Provident Fund (**'PF'**), Employee State Insurance (**'ESI'**), and other mandated contributions. As part of the contractual agreement, all supplier contracts explicitly include statutory compliance clauses covering labour laws, tax obligations (including GST), and other regulatory requirements. While suppliers remain primarily responsible for fulfilling these statutory obligations, Tata Steel performs oversight in its capacity as the principal employer for all contract workers engaged at its premises.

The Contractor Cell plays a central role in monitoring statutory compliance. It verifies the timely deposit of PF and ESI contributions by suppliers, reviews supporting records, and ensures that statutory payments are made within prescribed timelines. Any instances of non compliance are escalated and may invite legal actions, penalties, or other disciplinary measures consistent with Tata Steel's consequence management policies. The Contractor Cell also works closely with Procurement to enforce compliance by implementing measures such as blocking or unblocking of RFQs in accordance with the consequence management framework.

In addition, Tata Steel uses its digital Contract Labour Management (**'CLM'**) system to capture and track statutory data for all contract workers. This system enables real time monitoring of statutory deposits, flags deviations, and triggers corrective actions. Warning letters are issued to suppliers for non compliance, and repeat deviations follow a structured consequence management process to ensure accountability and corrective behaviour.

3. Provide the number of employees/workers having suffered high consequence work- related injury/ill- health/ fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment.

	Total no. of affected employees/ workers		No. of employees/workers rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY2025-26	FY2024-25	FY2025-26	FY2024-25
Employees	4	8	3	6
Workers	29	24	5	19

Note: *Numbers for cases of support for Employee fatality/or high consequence injury*

4. **Does the entity provide transition assistance programmes to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)**

TSN provides transition assistance programmes to support continued employability in cases of organisational restructuring and termination of employment. These include a Social Plan agreed with trade unions, work to worksupport, internal redeployment and placement efforts, external career guidance, and reskilling and upskilling initiatives linked to the green transition.

Tata Steel, through its subsidiary UK Steel Enterprise, supports economic regeneration in communities impacted by the steel industry changes. Through the current restructuring programme in TSUK, a specialist outplacement partner, Lee Hecht Harrison (**'LHH'**), assists those exiting due to redundancy with CV creation, interview skills, job searching, business setup guidance, and retirement planning. Additional pension support is available with ongoing presentations for all employees.

5. **Details on assessment of value chain partners:**

Tata Steel conducts structured and periodic assessments of its value chain partners to ensure alignment with the Company's expectations on health and safety, human rights, working conditions, and ethical business practices. Under the RSCP, which is built on five pillars—Fair Business Practices, Health & Safety, Human Rights, Environmental Protection, and Local Community Development—all critical suppliers are evaluated through a robust ESG assessment framework.

During onboarding, suppliers are informed of Tata Steel's expectations under SA8000:2014 and the RSCP and are required to submit a self-declaration confirming compliance. In addition, critical suppliers are subject to enhanced due-diligence assessments aligned with RSCP requirements.

For service providers operating within Tata Steel premises, particularly those engaged in high-risk activities, stringent safety assurance mechanisms have been institutionalised. Contractors are required to achieve a minimum 3-star rating under the Contractor Safety Management Standard (**'CSMS'**) to be eligible for participation in RFQs. To incentivise higher safety performance, Tata Steel extends preferential consideration to contractors achieving superior CSMS ratings, with 4 and 5-star vendors receiving positive differentiation in the procurement process.

Suppliers identified with gaps in RSCP compliance or safety performance are supported through structured capacity-building measures, including awareness programmes, targeted training, and joint improvement action plans. This collaborative approach enables suppliers to strengthen management systems, improve workplace conditions, and progressively enhance their safety and social performance.

At TSN, selected value chain partners are assessed using a risk-based approach under the RSCP. Assessments may include questionnaires, supplier documentation, certifications, audit findings, supplier declarations, and other relevant risk indicators. The depth and scope of assessment are determined by factors such as supplier category, material supplied, country exposure, business criticality, and ESG risk profile.

In the UK, all value chain partners undergo an initial onsite approval risk assessment covering health, safety, environment, and quality parameters, followed by periodic performance reviews and continued alignment with internationally recognised management system standards, including ISO 45001:2018, ISO 14001:2015, and ISO 9001:2015.

A summary of value chain partners assessed by key Tata Steel entities is provided below:

	% of value chain partners (by value of business done with such partners) that were assessed		
	TSL	TSN	TSUK
Health and Safety practices	82	25	12
Working Conditions	82	25	12

6. Provide details of any corrective actions taken or underway to address significant risks/concerns arising from assessments of health and safety practices and working conditions of value chain partners.

Tata Steel adopts a structured and collaborative approach to address significant risks identified through assessments of its value chain partners' health & safety practices and working conditions. Under the RSCP, suppliers identified with gaps in performance receive targeted interventions designed to strengthen their overall ESG maturity.

Tata Steel works closely with low scoring suppliers to develop and improve on their performances, supported by the Vendor Capability Advancement Programme (**'VCAP'**). Suppliers are encouraged to undergo reassessment once corrective actions are completed. Up to FY2025-26, 298 suppliers were reassessed, and 88 suppliers demonstrated an improvement in their maturity scores. Tata Steel's VCAP plays a crucial role in driving such improvements in the areas of safety, quality, productivity, and sustainability.

Tata Steel has also institutionalised strong safety oversight for service providers engaging in high risk activities. Only contractors achieving a minimum 3 star CSMS rating are eligible to undertake high risk work such as working at height, hot work, confined space entry, electrical operations, transportation, and similar activities.

Key Safety linked initiatives include:

- All vendor employees undergo a mandatory safety orientation and induction programme provided by Tata Steel. This is a critical step to obtain a permit to enter the Company premises (the gate pass). This training covers site-specific and job-specific hazards, the layout of working areas, safe entry/exit routes, and the essential life-saving rules.
- A safety recognition and positive discrimination framework for high performing suppliers (4 star and 5 star), offering:
  - Special consideration during contract award decisions, and
  - Reimbursement of safety skill certification costs
- Extension of the Safety Excellence Reward & Recognition framework to include contract workers and vendor employees, reinforcing positive behaviors and strengthening safety culture across the value chain.
- Implementation of a simplified vendor competency assessment process to ensure deployment of competent vendor for high-risk job while maintaining rigor in safety due diligence. In FY2025-26, 1,775 service providers underwent safety competency assessment under the star rating framework.
- Encouraging transport service partners to adopt digital safety tools such as HumSafar and the Driver Fatigue Monitoring System (**'DFMS'**) to reduce risks related to drowsy driving, distraction, and overspeeding through real time alerts and two way communication.
- Conducting comprehensive driver training for new and existing drivers through simulators at the Practical Training Centre (**'PTC'**) to address risks related to hazardous driving conditions, and road safety protocols.

These corrective actions spanning supplier capability development, digital monitoring, strict compliance requirements, and reinforcement of safe work practices enable Tata Steel to systematically mitigate health and safety risks across its value chain and promote safer working conditions for all contract workers and supplier employees. In the UK, compliance with HSC09 policy is required by vendors for high-risk activities. Full site approval is granted only after the supplier successfully completes a comprehensive risk assessment and demonstrates conformity with the required Safety, Quality, and Environmental standards. Suppliers operating on-site are also subject to periodic safety evaluations to ensure continued adherence to these requirements. Contract reviews routinely incorporate assessments of safety and occupational health performance. Throughout the duration of each contract, Tata Steel has a 'Supply Chain Improvement Request' (**'SIR'**) system to capture opportunities for improvement across Safety, Health, Environment, Delivery, and Quality. In addition, the SIR system also enables the recognition of suppliers who exceed expected standards.

Principle 4: Businesses should respect the interests of and be responsive to all its stakeholders.

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

Tata Steel conducts a Materiality Assessment process with an independent third party to identify key stakeholder groups and material issues. This process uses various standards such as Global Reporting Initiative, Sustainability Accounting Standards Board, EU Sustainability Reporting, MSCI Index, International Labour Organisation Framework, UN Guiding Principles on Business and Human Rights, peer company reports, and Tata Steel's past assessments. The AA1000 Stakeholder Engagement Standard, 2015, helps stakeholder identification and engagement. Combining these inputs and independent judgement, the third party identifies Tata Steel's key stakeholders.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

S. No.	Stakeholder Group (Whether identified as Vulnerable and Marginalised)	Channels of communication	Frequency	Purpose and scope of engagement including key topics and concerns raised
1	Investors (Not identified as vulnerable)	› Annual Integrated Report Annual general meeting › Quarterly Earnings calls › Investor and analysts meet › One-to-one meetings (upon request) › Media updates	Plan/Need based	› Business performance › Investor queries and concerns › Corporate governance › Corporate Strategy and business environment
2	Customers (Not identified as vulnerable)	› Customer service teams › Process/product improvement workshops › Customer meets › Leadership connect › Digital platforms › Milestone celebrations › Academia collaboration › Trade fair and industry collaboration › Customer engagement and satisfaction surveys	Plan/Need based	› Quality and safety › Product information › New product development › Timely delivery of product/ service › Strengthening Relationships › Business growth › Improve Customer experience › Fair and competitive pricing › Knowledge and infrastructure support
3	Vendor Partner/ Suppliers (Yes, Tata Steel's Affirmative Action suppliers are identified as vulnerable and marginalised)	› Supplier Management › Responsible Supply Chain Policy assessments › Supplier Relationship Management › Vendor Capability Advancement Programme › Swagat Programme › Meetings and dialogues	Plan/Need based	› Supplier led Innovation & Collaboration › Embedding sustainability in the supply chain and promoting responsible sourcing › Drive continuous improvement across the vendor base focusing on safety, quality, delivery performance, productivity enhancement, and sustainability › Inclusion of local medium and small-scale enterprises in vendor base for community support › Streamlining routine ordering, payment processes for efficiency improvement
4	Government and Regulatory Bodies (Not identified as vulnerable and marginalised)	› Formal and informal consultation processes › Representations and advocacy on policy matters	Plan/Need based	› Regulatory compliance › Clearances and approvals for business continuity and growth projects › Policy advocacy › Ease of doing business

S. No.	Stakeholder Group (Whether identified as Vulnerable and Marginalised)	Channels of communication	Frequency	Purpose and scope of engagement including key topics and concerns raised
5	Employees and Workers (Yes, Females, those from the LGBTQIA+ community, PwDs, and the employees from Affirmative Action Community are identified as vulnerable and marginalised)	› Apex Joint Consultative Council of Management and its sub-committees › Divisional Joint Consultative Council of Management. › Joint Departmental Council › Monthly MD-Online forum › Performance reviews › CEO & MD Connect › Know Your Rights programme for contract employees › Senior leadership Townhalls › Central Works Council (IJmuiden) › Youth Leadership Interactions. › Employee Relations Forums › Manthan Ab Shopfloor Se ('**MASS**') meetings	As per team plan/ weekly/ monthly/ quarterly/annual	› Health and safety › Attracting and retaining diverse talent › Providing an inclusive and positive work environment › Local sourcing of labour › Enhancing Wellness culture › Caring and empowering work environment › Personal development and growth › Driving high performance culture › Grievance resolution
6	Communities Representatives (Yes, identified as vulnerable and marginalised)	› Formal meetings and group discussions › Informal Interactions › Rural satisfaction survey	Plan/Need based	› Community development programmes livelihood, public health, education – based on local communities' needs › Environmental and social issues
7	Media (Not identified as vulnerable and marginalised)	› Press conferences › Media meets › Conclaves/Summits › Sports tournaments › One-to-one interaction with senior management	Plan/Need based	› Transparent and accurate disclosure to stakeholders › Awareness on Tata Steel's Businesses, Brands and Sustainability initiatives › Enhancing Corporate Reputation
8	Industry Bodies, Associations and International standard setting organisations (Not identified as vulnerable and marginalised)	› National and international trade organisations/committees › National and international standards taskforces and groups	Plan/Need based	› Collaborations on innovation and regulations › Long term viability of the Indian steel industry › Ease and cost of doing business, fair trade practices and favourable regulatory policies
9	Academic Bodies (Not identified as vulnerable and marginalised)	› National and regional committees and sub-committees › Joint projects on specific research areas › Engagements with startups	Plan/Need based	› Early exposure to emerging technology in thrust areas › Translation of academic excellence into operational impact › Alignment on critical industry concerns and policy matters

Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

Tata Steel has assigned the responsibility of facilitating consultations between stakeholders and the Board regarding economic, environmental, and social matters to the Chief Executive Officer and Managing Director (CEO&MD) of the Company. The CEO&MD, along with the senior leadership team from Tata Steel and its subsidiaries, routinely informs the Board and various Board Committees about pertinent issues. Updates are provided during Board meetings and in dedicated sessions for various Board Committees. To ensure that management receives feedback from key stakeholders, Tata Steel has implemented multiple processes that facilitate this communication, enabling discussions at Board and Committee meetings.

2. **Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes/No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

   Yes, Tata Steel uses stakeholder consultations and insights from the Materiality Assessment Exercise to shape its key environmental and social policies. Following this assessment, the Company has set ambitious targets in identified areas as part of its strategic objectives. These initiatives are outlined in the BRSR and aim to balance stakeholder needs while minimising adverse impacts and community risks in their Long-Term and Annual Business Plans. Issues identified during the assessment are incorporated into strategic planning and addressed through action plans and resource allocation in areas like capital expenditure and workforce planning. A governance structure at both the Board and Corporate level oversees material issues and action plans. Committees such as the Safety, Health & Environment Committee and Risk Management Committee at the Board level, and Apex Risk Review Committees, chaired by CEO & MD, facilitate performance reviews and provide guidance amid external changes.

3. **Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalised stakeholder groups.**

   In India, Tata Steel majorly operates in Jharkhand, Odisha and Punjab, where it engages with vulnerable indigenous communities. The Company aims to improve these communities' well-being through regional development models focused on inclusion and national-scale replicable initiatives. Key actions include ensuring safety at operating sites, maintaining community outreach, and supporting public health, nutrition, water access, sanitation, education, livelihoods, sports, disability, dignity, and public infrastructure. *More details can be found in the Social and Relationship Capital of Tata Steel's Integrated Report for FY2025-26.*

Principle 5: Businesses should respect and promote human rights.

Essential Indicators

1. **Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:**

   All Tata Steel employees and workers are provided training on the Tata Code of Conduct, which cover key human rights issues, the Prevention on Sexual Harassment trainings and other corporate level policies from time to time.

Category	FY2025-26			FY2024-25		
	Total (A)	No. of employees/ workers covered (B)	% (B/A)	Total (A)	No. of employees/ workers covered (B)	% (B/A)
Employees						
Permanent	71,037	71,037	100	73,432	73,432	100
Other than permanent	2,178	2,178	100	1,945	1,945	100
Total Employees	**73,215**	**73,215**	**100**	**75,377**	**75,377**	**100**
Workers						
Permanent	41,225	41,225	100	42,356	42,356	100
Other than permanent	1,46,772	1,46,772	100	1,55,229	1,55,229	100
Total Workers	**1,87,997**	**1,87,997**	**100**	**1,97,585**	**1,97,585**	**100**

2. Details of minimum wages paid to employees and workers, in the following format:

100% of employees and workers of Tata Steel are paid more than or equal to the minimum wage, as applicable in their respective jurisdiction.

Category	FY2025-26			FY2024-25		
	Total (A)	Equal to or more than Minimum Wage		Total (A)	Equal to or more than Minimum Wage	
		No. (B)	% (B/A)		No. (B)	% (B/A)
Employees						
Permanent						
Male	64,211	64,211	100	66,696	66,696	100
Female	6,720	6,720	100	6,644	6,644	100
Others[1]	106	106	100	92	92	100
Other than Permanent						
Male	1,157	1,157	100	963	963	100
Female	1,021	1,021	100	982	982	100
Others[1]	-	-	-	-	-	-
Workers						
Permanent						
Male	38,353	38,353	100	39,594	39,594	100
Female	2,766	2,766	100	2,670	2,670	100
Others[1]	106	106	100	92	92	100
Other than Permanent						
Male	1,37,768	1,37,768	100	1,46,786	1,46,786	100
Female	9,000	9,000	100	8,437	8,437	100
Others[1]	4	4	100	6	6	100

[1]Others include transgender personnel.

3. Details of remuneration/salary/wages:

a) Median Remuneration/Wages

Company	Per annum Figs in.	Category	Male		Female	
			Number	Median remuneration	Number	Median remuneration
Tata Steel Limited	₹	Board of Directors (BoD)	9	1,38,20,000	1	1,32,60,000
	₹	Key Managerial Personnel	3	16,38,67,035	-	-
Tata Steel India including Indian Subsidiaries	₹	Employees & Permanent Workers (other than BoD and KMP listed above)	47,632	7,98,177	4,573	6,61,149
Overseas Entities	₹	Employees & Permanent Workers (other than BoD and KMP listed above)	16,579	87,93,436	2,147	65,91,007

1. Remuneration of Board of Directors

S. No.	Board of Directors (Male)	Amount (in ₹)
1	Mr. N. Chandrasekaran	3,20,000
2	Mr. Saurabh Agrawal	6,00,000
3	Dr. Shekhar C. Mande	1,29,00,000
4	Mr. Pramod Agrawal	1,31,10,000
5	Mr. V. K. Sharma	1,38,20,000
6	Mr. Noel Naval Tata	1,78,60,000
7	Mr. Deepak Kapoor	1,82,20,000
8	Mr. Koushik Chatterjee	16,38,67,035
9	Mr. T. V. Narendran	20,66,06,915

S. No.	Board of Directors (Female)	Amount (in ₹)
1	Ms. Bharti Gupta Ramola	1,32,60,000

2. Remuneration of Key Managerial Personnel

S. No.	Key Managerial Personnel (Male)	Amount (in ₹)
1	Mr. Parvatheesam Kanchinadham	4,87,95,520
2	Mr. Koushik Chatterjee	16,38,67,035
3	Mr. T. V. Narendran	20,66,06,915

3. b) Gross wages paid to females as % of total wages paid by the entity, in the following format:

	Tata Steel Standalone		Tata Steel Consolidated	
	FY2025-26	FY2024-25	FY2025-26	FY2024-25
Gross wages paid to females as % of total wages	7	6	9	9

Note: *Reasonable Assurance has been undertaken by Price Waterhouse & Co Chartered Accountants LLP, on the indicator in the table above for Standalone figures for FY2025-26. (highlighted in green)*

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business?

Yes, Tata Steel has an Apex Business & Human Rights Committee to oversee human rights commitments, chaired by the CEO & MD. It also has a Working Committee which addresses human rights related issues, headed by the Vice Presidents. Together, the two Committees ensure that actions are aligned to Tata values and global principles, maintaining accountability at the highest level. Tata Steel is committed to upholding human rights for all stakeholders and addressing adverse impacts caused by its businesses. The Company's Business & Human Rights policy (https://www.tatasteel.com/media/15484/tsl-policy.pdf) aligns with the Universal Declaration of Human Rights, International Labour Organization (**'ILO'**) Declaration on Fundamental Principles and Rights at Work, and the UN Guiding Principles on Business and Human Rights, consistent with the TCoC. This policy applies to Tata Steel and its subsidiaries.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

Tata Steel has established a robust grievance redressal framework to ensure human rights concerns are addressed in a structured and accountable manner. Concerns may be reported through multiple channels — including the Speak Up platform, email, letter, web helpline, or orally. We register and investigate cases, with recommendations escalated to the relevant authority, who ensures appropriate actions are implemented and documented. Tata Steel also extends this commitment to its value chain, requiring partners to comply with SA8000:2014 and relevant ISO standards, particularly in higher-risk regions, with suppliers expected to maintain policies preventing forced labour and related violations. No reports of modern slavery or human trafficking were received in FY2025-26, and third-party assessments found no evidence of such instances across Tata Steel's value chain.

6. Number of Complaints on the following made by employees and workers:

	FY2025-26		FY2024-25	
	Filed during the year	Pending resolution at the end of year	Filed during the year	Pending resolution at the end of year
Sexual Harassment	45	8	53	15
Discrimination at workplace	10	4	7	3
Child Labour	-	-	-	-
Forced Labour/ Involuntary Labour	-	-	1	1
Wages	-	-	-	-
Other human rights related issues	2	2	-	-

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	Tata Steel Standalone		Tata Steel Consolidated	
	FY2025-26	FY2024-25	FY2025-26	FY2024-25
Total Complaints reported under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH) (No. of POSH complaints filed by female employees/ workers)	33	43	40	46
Complaints on POSH as a % of female employees / workers	0.3	0.5	0.2	0.3
Complaints on POSH upheld (No. of complaints by women upheld)	23	18	27	20

Note 1: *Reasonable Assurance has been undertaken by Price Waterhouse & Co. Chartered Accountants LLP, on the indicators in the table above for Standalone figures for FY2025-26. (highlighted in green)*

Note 2: *Of the 23 complaints under "Complaints on POSH upheld" in FY2025-26, 7 complaints pertains to FY2024-25 which were under investigation and concluded as proven in the current reporting period.*

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

Tata Steel follows the Tata Code of Conduct and has policies to address workplace discrimination and harassment. We urge employees, customers, suppliers, and stakeholders to report any violations of our Code, policies, or law, as well as misconduct that contradicts our values. Retaliation against those who report concerns is not tolerated, and disciplinary action will be taken against anyone involved. In case of any retaliation, respective line managers, Divisional Ethics Coordinators, Ethics Champions, Chief Ethics Counsellor, Human Resource Management department, CEO & MD, or Tata Group's Chief Ethics Officer can be contacted.

For further detail, please refer to the policy section of Tata Steel: https://www.tatasteel.com/corporate/our-organisation/ policies/

9. Do human rights requirements form part of your business agreements and contracts?

Yes, human rights requirements form a part of Tata Steel's business agreements and contracts. The terms of a contract or purchase order copies submitted to vendors include compliance with SA8000:2014 requirements, and all vendor partners must comply with such requirements. The SA8000:2014 policy covers various aspects of human rights such as child labour, forced or compulsory labour, health and safety, freedom of association and collective bargaining, non-discrimination, disciplinary practices, working hours, compensation practices, and management systems.

Tata Steel also follows the Business Associate Code of Conduct and expects all value chain partners to adhere to its principles which includes human rights. All suppliers are required to sign the Code of Conduct during registration process committing their adherence to the clauses. The Business Associates Code of Conduct can be found at www.tatasteel.com/ media/9244/ business-associates-code-of-conduct.pdf.

Furthermore, Tata Steel's RSCP encourages supply chain partners to share the same commitment to integrate the four principles of the policy (Fair Business Practices, Health and Safety, Human Rights, and Environmental Management) in all their business decision-making, and extend them to their own supply chain.

10. Assessment for the year:

Human Rights issues	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child Labour	All of Tata Steel's plants and offices (100%) in India are assessed for compliance on key human rights issues by internal teams, as part of regular ongoing reviews conducted by the Company's senior leadership. Beyond internal assessments, select sites hold third-party SA8000:2014 certification and are assessed on a regular basis. A periodic human rights due diligence exercise was conducted in FY2023-24, covering all business units on a sample basis.
Forced/Involuntary Labour	
Sexual Harassment	
Discrimination at workplace	
Wages	
Others	

11. Provide details of any corrective actions taken or underway to address significant risks/concerns arising from the assessments at Question 10 above.

No significant risks or concerns were identified during FY2025-26. If any incidents occur across human rights parameters, they are addressed promptly through Tata Steel's established grievance redressal SOPs, ensuring timely resolution and documentation. As a responsible company, Tata Steel also ensures continuous monitoring and capability building of its value chain partners through policies such as the Responsible Supply Chain Policy and the Sustainable Procurement Framework, reinforcing a proactive approach to human rights risk management.

Leadership Indicators

1. Details of a business process being modified/introduced as a result of addressing human rights grievances/ complaints.

No major risks or concerns have been identified in human rights parameters, so no significant modifications or introduction of new processes as a result of addressing human rights grievances or complaints. However, Tata Steel has a robust framework in place to address any such grievances. Pertinent grievances and procedures are reviewed periodically by senior management to ensure continued effectiveness. Key mechanisms under this framework include:

1. **Grievance Redressal for Contract Employees:** A dedicated mechanism allows contract employees to report concerns via a third-party helpline.
2. **Contractor Cells:** Established at multiple locations to handle contract employees' issues related to wages, provident fund, and settlements.
3. **Vendor Training:** Regular sessions raise awareness about statutory rights and ensure legal compliance.
4. **TCoC Compliance:** Vendors sign the Tata Code of Conduct during registration to reinforce ethical practices.
5. **OECD Due Diligence in European Operations:** Tata Steel's European operations follow OECD's six-step approach for responsible business conduct.

TSN is strengthening its approach to human-rights management by developing a robust, internationally aligned grievance mechanism with anonymous reporting options and enhancing supplier due-diligence processes to enable effective risk-based assessment, grievance remediation, and continuous improvement informed by stakeholder engagement.

TSUK advanced its modern-slavery prevention initiatives by deploying a value-chain-wide Modern Slavery Policy, securing formal acknowledgement from suppliers through strengthened and aligned vendor-qualification systems, and reinforcing awareness via mandatory learning programmes for senior management and key functional teams.

2. Details of the scope and coverage of any Human rights due diligence conducted.

In FY2023-24, Tata Steel conducted third-party human rights due diligence audits for 14 business units, including steelmaking sites, mines, downstream facilities, and suppliers in Jharkhand, Odisha, Maharashtra, West Bengal, and Uttar Pradesh. The audits used sampling based on business unit types, geography, and rightsholders, involving documentation reviews, site visits, online surveys, and interviews. The goal was to identify vulnerable areas, potential risks, and remediation measures,benchmarking against global best practices. Protocols aligned with the UNGPs, OECD Guidelines, International Finance Corporation Performance Standard (IFC PS), SA8000:2014, ILO framework, Tata Group Business and Human Rights Guidelines, and national laws guided the audits. Findings were presented to the Apex Committee, with key policy gaps referred to the Working Committee, while local issue owners addressed specific site issues.

It assessed implementation of the 14 Business and Human Rights principles identified by the Company:

i.	Child labour	viii.	Non-harassment
ii.	Forced/involuntary labour	ix.	Right to clean air and water
iii.	Fair wages	x.	Right to Privacy
iv.	Equal opportunity	xi.	Rights of Indigenous persons
v.	Health & Safety	xii.	Rights of migrant labours
vi.	Freedom of association	xiii.	Rights of persons with disabilities
vii.	Land rights resettlement and rehabilitation	xiv.	Contemporary forms of slavery.

Tata Steel has also identified the following 6 rights holders:

i.	Tata Steel employees	iv.	Consumers/customers
ii.	Contract workforce	v.	Employees of value chain partners
iii.	Communities	vi.	Family members of Tata Steel employees

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, (RPwD Act) 2016?

Tata Steel has taken steps to ensure compliance with the RPwD Act across its sites and locations of Tata Steel (in India). Its plant and office premises are being adapted for easy movement of differently abled visitors and employees. The requisite infrastructure, including ramps, elevators and disabled-friendly washrooms, are being installed at all the premises of Tata Steel.

4. Details on assessment of value chain partners:

Human Rights issues	% of value chain partners (by value of business done with such partners) that were assessed
Child Labour	~82% of Critical suppliers, contributing to 83% of the total spend were assessed under Responsible Supply Chain Policy in our Indian operations. Details of the Responsible Supply Chain Policy - https://www.tatasteel.com/media/10931/tata-steel-responsible-supply-chain-policy_guidelines.pdf
Forced/Involuntary Labour	
Sexual Harassment	
Discrimination at workplace	
Wages	
Others	

5. Provide details of any corrective actions taken or underway to address significant risks/concerns arising from the assessments at Question 4 above.

In the FY2025-26 assessment of value chain partners under the RSCP, no significant risks or concerns were identified.

Tata Steel continues to deliver extensive training and capability building programmes for suppliers to enhance their readiness in areas relating to Fair Business Practices, Health & Safety, Human Rights, Environmental Protection, and Local Community Development—the five pillars of the RSCP. Suppliers are categorised into bands (Basic, Improving, Established, Mature, Leading), and those in lower bands receive targeted support to improve their maturity levels.

All suppliers are required to provide a declaration of adherence to SA8000:2014 requirements during onboarding and contract finalisation. The consequence management framework is applied in cases of non adherence, ranging from formal warnings to suspension of business engagement where deviations in human rights compliance are observed.

Principle 6: Businesses should respect and make efforts to protect and restore the environment.

Essential Indicators

1. Details of total energy consumption (in Peta Joule) and energy intensity, in the following format:

Parameter	UoM	Tata Steel Standalone				Tata Steel Consolidated			
		FY2025-26 Secondary	FY2025-26 Primary	FY2024-25 Secondary	FY2024-25 Primary	FY2025-26 Secondary	FY2025-26 Primary	FY2024-25 Secondary	FY2024-25 Primary
From renewable sources									
Total electricity consumption (A)	PJ	1.15	1.15	0.38	0.38	1.28	1.28	0.65	0.65
Total fuel consumption (B)	PJ	0.36	0.36	0.00	0.00	0.38	0.38	0.02	0.02
Energy consumption through other sources (C)	PJ	0.00	0.00	0.00	0.00	0.00	0.00	0.01	0.01
Total energy consumed from renewable sources (A+B+C)	PJ	**1.51**	**1.51**	**0.38**	**0.38**	**1.66**	**1.66**	**0.68**	**0.68**
From non-renewable sources									
Total electricity consumption (D)	PJ	23.65	73.32	22.86	70.86	29.29	90.81	26.25	81.39
Total fuel consumption (E)	PJ	598.65	598.65	564.32	564.32	753.10	753.10	748.52	748.52
Energy consumption through other sources (F)	PJ	0.00	0.00	0.00	0.00	0.28	0.28	0.22	0.22
Total energy consumed from non-renewable sources (D+E+F)	PJ	**622.30**	**671.97**	**587.18**	**635.19**	**782.67**	**844.19**	**775.00**	**830.13**
Total energy consumed (A+B+C+D+E+F)	PJ	**623.81**	**673.48**	**587.56**	**635.57**	**784.33**	**845.85**	**775.68**	**830.81**
% of energy consumed from renewable sources	%	0.24	0.22	0.07	0.06	0.21	0.20	0.09	0.08
Energy intensity per rupee of turnover	PJ/₹ Cr	0.0045	0.0048	0.0044	0.0048	0.0034	0.0036	0.0035	0.0038
Energy intensity per Million USD of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP)	PJ/Million USD	0.0091	0.0098	0.0092	0.0099	0.0108	0.0117	0.0073	0.0079
Energy intensity in terms of physical output	PJ/Million tonnes of crude steel	27.8	30.0	28.3	30.7	24.8	26.7	25.1	26.8

Note 1: *The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2026 by IMF which is 20.34 for India.*

Note 2: *Conversion factor of 3.1 has been used to convert electricity consumption from secondary to primary basis for non-renewable electricity based on an average across various sources.*

Note 3: *Electricity consumption for owned & leased offices have been estimated based on BEE Energy Benchmarks for Commercial Buildings.*

Note 4: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. *- Yes. Reasonable Assurance has been undertaken by Price Waterhouse & Co Chartered Accountants LLP, on the indicators in the table above, for "Secondary" column (other than Energy Intensity per rupees of turnover) for Standalone figures for FY2025-26. (highlighted in green)*

2. Does the entity have any sites/facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Yes, Tata Steel has 10 sites/facilities identified as DC under the PAT Scheme of the Government of India. All the sites were able to achieve the targets set under the PAT Scheme.

3. Provide details of the following disclosures related to water, in the following format:

Parameter	UoM	Tata Steel Standalone		Tata Steel Consolidated	
		FY2025-26	FY2024-25	FY2025-26	FY2024-25
Water Withdrawal by Source					
(i) Surface water	Million Litres	66,296	69,346	1,26,370	1,37,224
(ii) Groundwater	Million Litres	10,250	12,377	21,521	24,196
(iii) Third party water	Million Litres	18,539	10,304	22,607	14,764
(iv) Seawater/desalinated water	Million Litres	-	-	1,61,080	1,94,705
(v) Others	Million Litres	15,538	18,802	15,538	18,802
Total volume of water withdrawal (i + ii + iii + iv + v)	Million Litres	**1,10,623**	**1,10,829**	**3,47,116**	**3,89,691**
Total volume of water consumption	Million Litres	99,055	98,609	1,26,350	1,26,256
Water intensity per rupee of turnover (Total water consumption/Revenue from operations)	Kilolitres/₹	0.000071	0.000074	0.000054	0.000058
Water intensity per USD of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption/ Revenue from operations adjusted for PPP)	Kilolitres/US$	0.001442	0.001537	0.001743	0.001194
Water intensity in terms of physical output of crude steel	Kilolitres/tonnes	4.41	4.76	3.99	4.08

Note 1: *Tata Steel's steelmaking at IJmuiden and Port Talbot are located near the coast. They leverage their location and use sea water for cooling purpose only and not in process (not contaminated). After a slight increase in temperature, they are pumped back into the sea.*

Note 2: *Water consumption for Office and stockyards for employees/ workers is estimated based on Central Ground Water Authority (CGWA) guideline as mentioned in the Industry Standards Note on BRSR Core. Further, the proportion of untreated water discharged is considered as 80% of the water withdrawn from source, based on Central Pollution Control Board (CPCB) report dated December 24, 2009.*

Note 3: *The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2026 by IMF which is 20.34 for India.*

Note 4: Indicate if any independent assessment/evaluation/assurance has been carried outby an external agency? (Y/N) If yes, name of the external agency
Yes. Reasonable Assurance has been undertaken by Price Waterhouse& Co Chartered Accountants LLP, on total volume of water consumption, Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) and Water intensity in terms of physical output, in the table above for Standalone figures for FY2025-26. (highlighted in green)

4. Provide the following details related to water discharged:

Parameter	Tata Steel Standalone		Tata Steel Consolidated	
	FY2025-26	FY2024-25	FY2025-26	FY2024-25
Water discharge by destination and level of treatment (in Million Litres)				
(i) To Surface water	11,337	12,000	11,383	12,084
No treatment	-	-	14	19
With treatment – Secondary level	11,337	12,000	11,369	12,066
(ii) To Groundwater	-	-	16	12
No treatment	-	-	-	-
With treatment – Secondary level	-	-	16	12
(iii) To Seawater	-	-	1,90,237	2,24,022
No treatment	-	-	1,69,343	2,03,097
With treatment – Secondary level	-	-	20,894	20,925
(iv) Sent to third-parties	231	220	231	220
No treatment	-	-	-	-
With treatment – Secondary level	231	220	231	220
(v) Others	-	-	18,899	27,097
No treatment	-	-	-	-
With treatment – Secondary level	-	-	18,899	27,097
Total water discharged (in Million Litres)	**11,568**	**12,220**	**2,20,766**	**2,63,435**
Total water discharged excluding seawater (in Million Litres)	**11,568**	**12,220**	**30,529**	**39,413**

Note 1: *The proportion of the untreated water discharged for water withdrawn from Corporate Office is based on Central Pollution Control Board (CPCB) database report dated December 24, 2009.*

Note 2: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency?(Y/N) If yes, name of the external agency. *Yes, Reasonable Assurance has been undertaken by Price Waterhouse & Co Chartered Accountants LLP, on the indicators in the table above other than total water discharged excluding seawater, for Standalone figures for FY2025-26 (highlighted in green).*

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Tata Steel has implemented advanced waste-water treatment technologies to recycle, recover and then re-use the treated waste-water towards ensuring that there is no discharge of the waste-water to the environment. Tata Steel has already implemented Zero Effluent Discharge (**'ZED'**) projects at several sites including Kalinganagar, Gamharia and Thailand plants and is progressing at Meramandali and Jamshedpur. Through ZED, 100% wastewater recycling is achieved, significantly reducing freshwater consumption. Municipal sewage is converted into industrial-grade water, strengthening community water resilience. Rainwater harvesting and aquifer recharge programmes further replenish local water tables, reinforcing Tata Steel's commitment to responsible, circular water stewardship. In the Netherlands and UK, facilities like IJmuiden and Port Talbot operate near coasts, using once-through cooling systems that return water to the environment without quality loss.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	UoM	Tata Steel Standalone		Tata Steel Consolidated	
		FY2025-26	FY2024-25	FY2025-26	FY2024-25
Stack NOx	Kilotonnes/year	27	24	35	32
Stack SOx	Kilotonnes/year	67	46	73	52
Particulate matter (PM)	Kilotonnes/year	9	8	11	10
Persistent organic pollutants (POP)	Not material for the steel manufacturing company				
Volatile organic compounds (VOC)					
Hazardous air pollutants (HAP)					
Others					

Note: *The methodology for calculating air emissions has been streamlined in FY2025-26. The reporting boundary includes all stacks - process and dedusting.*

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) and its intensity, in the following format: Boundary and Basis:

Parameter	UoM	Tata Steel Standalone		Tata Steel Consolidated	
		FY2025-26	FY2024-25	FY2025-26	FY2024-25
Total Scope 1 emissions	Million tonnes CO_2e	64	61	78	78
Total Scope 2 emissions	Million tonnes CO_2e	5	5	6	6
Total Scope 1 and Scope 2 emission intensity per rupee of turnover	(Total Scope 1 and Scope 2 GHG emissions (MT)/ Revenue from operations (₹ crore))	0.0005	0.0005	0.0004	0.0004
Total Scope 1 and Scope 2 emission intensity per Million USD of turnover adjusted for Purchasing Power Parity (PPP)	(Total Scope 1 and Scope 2 GHG emissions (MT)/Revenue from operations adjusted for PPP (Million USD))	0.001	0.001	0.001	0.001
Total Scope 1 and Scope 2 emission intensity in terms of physical output	Tonnes/tonnes of crude steel	3.1	3.2	2.7	2.7

Note 1: *The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2026 by IMF which is 20.34 for India.*

Note 2: *Scope 2 location-based emissions are based on emission factor of electricity of respective countries.*

Note 3: *Electricity consumption used for Scope-2 calculation for offices have been estimated based on BEE Energy Benchmarks for Commercial Buildings.*

Note 4: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.
Yes, Reasonable Assurance has been undertaken by Price Waterhouse & Co Chartered Accountants LLP, on the indicators in the table above (other than) Total Scope 1 and Scope 2 emission intensity per rupee of turnover), for Standalone figures for FY2025-26 (highlighted in green).

Note 5: *For the FY2025-26, Biogenic CO_2 emissions from combustion of Biochar was ~63,160 tCO_2*

8. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide details.

Yes, details are provided in the Climate Change Report, which is part of Tata Steel's Integrated Report for FY2025-26.

8. a. How many Green Credits have been generated or procured by the listed entity?

Nil

9. **Provide details related to waste management by the entity, in the following format:**

Parameter	Tata Steel Standalone		Tata Steel Consolidated	
	FY2025-26	FY2024-25	FY2025-26	FY2024-25
Total Waste generated (in metric tonnes)				
Plastic waste (A)	3,201	2,359	4,834	3,359
E-waste (B)	239	201	490	435
Bio-medical waste (C)	206	256	206	276
Construction and demolition waste (D)	760	1,714	38,692	65,946
Battery waste (E)	228	687	239	695
Radioactive waste (F)*	-	-	-	-
Other Hazardous waste. (G)	15,95,294	12,27,314	17,72,095	13,52,807
Other Non-hazardous waste generated (H)	1,71,82,321	1,61,19,942	1,81,29,149	1,76,47,983
Total (A + B + C + D + E + F + G + H)	**1,87,82,249**	**1,73,52,473**	**1,99,45,706**	**1,90,71,500**
Waste intensity per rupee of turnover (Tonnes/₹) (Total waste generated / Revenue from operations)	0.000013	0.000013	0.000009	0.000009
Waste intensity per USD turnover adjusted for Purchasing Power Parity (PPP) (Tonnes/ USD) (Total waste generated / Revenue from operations adjusted for PPP)	0.000273	0.000271	0.000028	0.000018
Waste intensity in terms of physical output (Tonnes/tcs)	0.8	0.8	0.6	0.6
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)				
Category of waste				
(i) Recycled	1,59,39,834	1,64,79,338	1,68,62,471	1,74,13,087
(ii) Re-used	29,02,409	29,59,048	30,83,613	37,62,381
(iii) Other recovery operations	1	-	1,677	-
Total	**1,88,42,244**	**1,94,38,386**	**1,99,47,761**	**2,11,75,468**
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)				
Category of waste				
(i) Incineration	4,236	4,113	4,839	5,412
(ii) Landfilling	17,513	15,987	90,651	61,466
(iii) Other disposal operations	160	-	1,181	5,885
Total	**21,909**	**20,100**	**96,672**	**72,763**
Waste Intensity (MT of Waste Recovered /Total Waste generated)	1.003	1.120	1.000	1.110
Waste Intensity (MT of Waste Disposed /Total Waste generated)	0.001	0.001	0.005	0.004

**Tata Steel has trace amounts of radioactive waste on account of disposal of some equipment and such disposal is undertaken as per regulations and with all due precaution.*

Note 1: *E-waste, Plastic waste, Construction and demolition waste, Bio-medical waste and Battery waste is accounted for at the time of disposal and therefore waste recovered and disposed has been considered as waste generated.*

Note 2: *The waste recovered and disposed is more than the waste generated due to the legacy stock of previous periods.*

Note 3: *The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2026 by IMF which is 20.34 for India.*

Note 4: *Waste for offices and warehouses is estimated by considering the grams per person per day from Annual Report 2021-22 on improvement of Solid Waste Management Rules, 2016 by Central Pollution Control Board.*

Note 5: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.
Yes, Reasonable Assurance has been undertaken by Price Waterhouse & Co Chartered Accountants LLP, on the indicators in the table above, other than Waste intensity per rupees of turnover, for Standalone figures for FY2025-26. (highlighted in green)

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your Company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

Waste Management Practices:

Tata Steel follows a "Zero Waste" philosophy based on Reduce, Reuse, Recycle (3R) principles. It has a dedicated unit, Industrial By-Product Management Division (**'IBMD'**), to manage and utilise waste efficiently. Major by-products (slag, dust, sludge, mill scale, etc.) are reused internally (e.g., sinter and steelmaking) or recycled externally (e.g., cement, road construction, fly ash bricks). Advanced facilities recover iron from slag, process scrap, and convert slag into value-added products like construction materials and green pavers. E-waste is handled through authorised recyclers in compliance with legal rules.

Strategy to Reduce Hazardous & Toxic Chemicals:

The Company works with suppliers to refurbish equipment and extend lifecycle, reducing waste generation. It is transitioning to cleaner fuels (e.g., LNG) in mining operations to lower emissions and toxic outputs. Adoption of advanced processing technologies minimises hazardous residues and improves resource efficiency.

Management of Hazardous Waste:

Hazardous waste is disposed of through authorised agencies as per regulatory norms. Most solid waste is reprocessed and reused internally, reducing the need for disposal. While most processed solid waste is reused within manufacturing, Tata Steel collaborates with authorised external agencies to dispose of hazardous waste.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones, etc.) where environmental approvals/clearances are required, please specify details in the following format:

No, for Tata Steel's Indian operations, we do not have any operations/offices in Ecologically Sensitive Areas (**'ESAs'**).

Some of the operations of Tata Steel are around Wildlife Sanctuaries, Forest, Coastal Regulation Zones and the same are listed below.

S. No.	Location	Type of Operations	Whether the conditions of Environmental approval/clearance are being complied with
1	Joda East	Mining	Yes
2	Katamati	Mining	Yes
3	Khondbond	Mining	Yes
4	Manmora	Mining	Yes
5	Noamundi	Mining	Yes
6	Vijaya II	Mining	Yes
7	Kalamang West	Mining	Yes
8	Koira	Mining	Yes
9	West Bokaro	Mining	Yes
10	Bamebari	Mining	Yes
11	Joda West	Mining	Yes
12	Tiringpahar	Mining	Yes
13	Sukinda	Mining	Yes
14	Kamarda	Mining	Yes
15	Saruabil	Mining	Yes
16	Gandhalpada	Mining	Yes
17	FAMD- FAP (Athagarh, Bamnipal & Gopalpur) and SSP	Processing plant	Yes
18	Tata Steel Meramandali	Operations	Yes
19	Tata Steel Jamshedpur	Operations	Yes

S. No.	Location	Type of Operations	Whether the conditions of Environmental approval/clearance are being complied with
20	Tata Steel Tinplate	Operations	Yes
21	Tata Steel Gamharia	Operations	Yes
22	CRM Bara, Jamshedpur	Operations	Yes
23	Tata Steel Sponge Iron Plant, Joda	Operations	Yes
24	Tata Steel Wires Division, Jamshedpur	Operations	Yes
25	Combi Mill Division, Jamshedpur	Operations	Yes

Note: *Tata Steel also operates its Management Development Centre besides the Dimna Lake (Dalma Wildlife Sanctuary) in Jamshedpur since 1954.*

TSN's main steelmaking site in IJmuiden is located in proximity to multiple ecologically sensitive areas, including several Natura 2000 sites and Key Biodiversity Areas in the Netherlands. As a result, TSN is subject to strict environmental permitting and approval requirements, including nature permits related to nitrogen deposition, air emissions, noise, light disturbance and warm-water discharge. Environmental Impact Assessments ('**EIAs**') and nature assessments are required for major operational changes and transition projects, such as the Green Steel Plan (DRI-EAF), with temporary and operational impacts on nearby protected areas assessed and mitigated in line with regulatory requirements. TSN operates under applicable Dutch and EU environmental and nature-protection legislation, and is required to implement mitigation measures and monitoring to ensure compliance with permit conditions affecting sensitive ecosystems.

In the UK, Tata Steel oversees natural habitats, including Sites of Special Scientific Interest ('**SSSIs**'), working with regulators to manage these areas responsibly. Environmental permits require assessing the impact of operations on nearby habitats, which are generally minimal. Tata Steel also seeks opportunities to promote biodiversity on other landholdings, contributing to the UK's natural heritage.

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain	Relevant Web link
Expansion of Katamati Iron Mine production capacity from 13.5 MTPA to 18.9 MTPA (ROM) in ML Area of 403.3238 ha located at Deojhar village & Thakurani RF, Keonjhar District of Odisha State	S.O.-1533 (E)	30.01.2026	Yes	Yes	https://parivesh.nic.in/
West Bokaro NOPR Township Project of Tata Steel Limited at West Bokaro, Ramgarh District of Jharkhand State	S.O.-1533 (E)	15.04.2025	Yes	Yes	
Tata Steel Nederland's Green Steel Project at the IJmuiden site (Project Heracless). The assessment is currently under review by the competent authorities. Independent advisory review has been conducted, and the permitting and decision-making process is ongoing. No final project decision or environmental permits had been granted at the reporting date.	NA	Date of 1st submission: 27.06. 2025	Yes	Yes	Environmental Impact Assessment Green Steel | Tata Steel

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

Yes, the Company is compliant with the applicable environmental law/regulations/guidelines in India such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment Protection Act and Rules thereunder.

Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in million litres):

Tata Steel operates across multiple regions, including sites located in water-stressed areas identified by the Water Resource Institute as having high and extremely high water stress.

i) Name of the area: Tata Steel's facilities at Jamshedpur, Gamharia, Gopalpur, Kamarda, Balasore, Haldia, Kharagpur, Tarapur, Khopoli, Aurangabad, Chakan, Sahibabad and Hosur; TSDPL facilities at Faridabad, Tada, Pune and Chennai; TSTH facilities at Rayong, Saraburi and Chonburi

ii) Nature of operations: **Steelmaking:** Tata Steel at Jamshedpur and Gamharia and TSTH at Rayong, Saraburi and Chonburi
Mining & Raw Material operations: Gopalpur, Kamarda, Balasore, Haldia
Downstream steel processing: Tata Steel at Kharagpur, Tarapur, Khopoli, Aurangabad, Chakan, Sahibabad and Hosur; TSDPL at Faridabad, Tada, Pune and Chennai

2. Water withdrawal, consumption and discharge in the following format:

Parameter on areas of water stress	Tata Steel Standalone		Tata Steel Consolidated	
	FY2025-26	FY2024-25	FY2025-26	FY2024-25
Water withdrawal by source (in Million Litres)				
(i) Surface water	23,438	21,629	24,231	22,205
(ii) Groundwater	3,155	3,356	3,189	3,396
(iii) Third party water	4,075	4,868	4,501	5,588
(iv) Seawater / desalinated water	-	-	-	-
(v) Others	14,734	17,735	14,734	17,735
Total volume of water withdrawal (in Million Litres)	**45,401**	**47,588**	**46,654**	**48,924**
Total volume of water consumption (in Million Litres)	**36,909**	**40,075**	**38,148**	**41,393**
Water intensity per rupee of turnover (Water consumed (Kilo Liltres)/ turnover (₹))	0.000026	0.000030	0.000016	0.000019
Water discharge by destination and level of treatment (in Million Litres)				
(i) Into Surface water	8,326	7,330	8,339	7,348
- No treatment	-	-	14	19
- With treatment – Secondary Level	8,326	7,330	8,326	7,330
(ii) Into Groundwater	-	-	-	-
- No treatment	-	-	-	-
- With treatment – Secondary Level	-	-	-	-

Parameter on areas of water stress	Tata Steel Standalone		Tata Steel Consolidated	
	FY2025-26	FY2024-25	FY2025-26	FY2024-25
(iii) Into Seawater	-	-	-	-
- No treatment	-	-	-	-
- With treatment	-	-	-	-
(iv) Sent to third-parties	167	173	167	173
- No treatment	-	-	-	-
- With treatment	167	173	167	173
(v) Others	-	-	-	-
- No treatment	-	-	-	-
- With treatment	-	-	-	-
Total water discharged (in Million Litres)	**8,492**	**7,502**	**8,506**	**7,521**

Note: *The water stress areas have been re-categorized as per the Water Risk Atlas of Water Resource Institute in FY2025-26 and the reported figures for FY2024-25 have been revised accordingly.*

3. Please provide details of total Scope 3 emissions (As per GHG Protocol) & its intensity, in the following format:

Parameter	Unit	Tata Steel Standalone		Tata Steel Consolidated	
		FY2025-26	FY2024-25	FY2025-26	FY2024-25
Total Scope 3 emissions	Million tonnes CO_2e	28	23	32	29
Total Scope 3 emissions	Scope 3 GHG emissions (MT)/ Revenue from operations (₹ Cr)	0.0002	0.0002	0.0001	0.0001

Note: *Assessment of scope 3 emissions continues to evolve, having high level of uncertainty and are reported based on available information at the time of publication.*

4. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

No, for Tata Steel's Indian operations, we do not have any operations/offices in Ecologically Sensitive Areas ('**ESAs**'). Some of the operations of Tata Steel are in/around Wildlife Sanctuaries, Forest, Coastal Regulation Zones.

In line with its nature permit, TSN's main impact driver of biodiversity-change is nitrogen deposition in Natura 2000 habitats nearby its IJmuiden site. Other emissions to air, water and GHG emissions also contribute to TSN's impact alongside potential noise and light disturbances. Throughout the reporting year, TSN has taken actions aimed at reducing air emissions including NOx emissions, water emissions, and GHG emissions, which also contributes to lowering pressures on ecosystems and biodiversity.

As part of the recent planning permission for a new electric arc furnace at the Port Talbot site, TSUK has committed to the creation of new habitats and enhancement of existing areas. There is a requirement to manage the 75 acres of new and enhanced habitat for the next 30 years with the involvement of local stakeholders. This enhancement includes new reedbeds, wetland areas, fen land, woodland and a wildlife tower. Many of the TSUK sites have mitigation and improvement plans in place to maintain and improve SSSIs, but also the wider site to encourage wildlife into the area. TSUK works with the regulator to create habitat management plans for the SSSI's within our boundaries with the intention to improve the status of the site.

5. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions/effluent discharge/waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

The initiatives under and product and process areas are summarised below:

Initiative Undertaken	Details of The Initiative Undertaken	Outcome of The Initiative
In-Situ Heat Treatment in Transmission Electron Microscope ('**TEM**')	Tata Steel acquired the facility to perform in-situ heating experiments in TEM, which is capable of monitoring real-time microstructural changes during heating or cooling of material.	Efficiently determine microstructural transformation temperatures to accelerate new product development.
Development of Cold Rolled Advanced High Strength Steel grades ('**AHSS**').	Tata Steel has successfully developed Cold Rolled AHSS—specifically Dual Phase ('**CRDP**') 980 and 1180 grades—at the Kalinganagar Continuous Annealing Line. This involved optimising compositions and the complete process, from steelmaking to continuous annealing, by in-house mathematical models, laboratory/pilot scale simulations and precise microstructural engineering.	Supports 'Atmanirbhar Bharat' by substituting imports, and strengthens Tata Steel's market leadership in AHSS.
Indigenous Nickel Pig Iron ('**NPI**') Production	Tata Steel has produced NPI from nickel containing low grade chromite overburden for the first time for use in stainless steel and alloy steel production. Product validation trials of NPI were carried out wherein about 200 ton of NPI was used in actual stainless steel and alloy steel production.	The trials have established the melting-refining and billet casting process parameters for NPI route stainless steel production process.
Oily Bubble Flotation of Coal	Patented, in-house developed Oily Bubble Flotation ('**OBF**') at Tata Steel's Washery is a plant-scale installation, significantly improving fine coal flotation recovery by strengthening bubble-particle attachment, making flotation circuits future ready for lower floatability domestic coals.	Oily bubble flotation delivered ~0.7% yield improvement on raw coal-basis.
Systematic weld process parameter identification for coil-to-coil joining of FHCR grades	Developed analytical models to predict laser welding power and temperature profiles for FHCR IF coils across diverse thickness/speed combinations.	Enable accurate prediction of process parameters for defect-free coil-to-coil joining, eliminating weld failure and reducing mill shutdowns.
Ultra-Violet (UV) discoloration resistant GFRP composites for roofing application	The developed composites were subjected to accelerated UVA weathering to evaluate their aesthetic behaviour (colour stability) and mechanical performance.	The developed UV resistant GFRP composites exhibited significantly improved colour stability (~62%), higher retention of mechanical properties (~91%) after 1,000 hours of UVA exposure.
Online crawler-based inspection system to enable condition monitoring of LD-converter hood tubes.	Tata Steel has developed an automated crawler-based non-destructive sensing system, capable of stable movement on curved/vertical/inclined tube surfaces, crossing stiffeners, and performing lateral tube-to-tube shifting for real-time defect detection and marking them under extreme conditions.	Early detection of in-service defects, significantly reducing unplanned stoppages and maintenance costs.
High Temperature Confocal Laser Scanning Microscope facility	The High-Temperature Confocal Laser Scanning Microscope ('**HT-CSLM**'), a state-of-the-art facility, seamlessly integrates depth-selective confocal imaging with a furnace, enabling real-time, in-situ observation of materials up to 1700°C. This powerful equipment is crucial for visualising inclusions in liquid steel, understanding microstructure evolution, analysing slag crystallisation, and developing advanced mold powders and synthetic slags.	Enabling capabilities vital for achieving clean steel, driving new product development, and optimising processes.

6. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

Tata Steel has a robust Onsite Emergency and Disaster Control Plan aligned with ISO 22301:2019 standards, ensuring business continuity during crises like fires, cyber-attacks, or terrorism. Defined roles, Tactical Centres, and periodic drills support preparedness. IT systems have approved Cyber Crisis Management Plan (**'CCMP'**). The enterprise operates on a secure, scalable hybrid multi-cloud platform with Zero Trust architecture, enabling seamless remote access. Regular reviews, disaster scenario matrices, and secure infrastructure reinforce Tata Steel's commitment to operational continuity and information security across global operations.

7. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

While no significant adverse environmental impacts were identified in FY2025-26, Tata Steel continues to deploy strong environmental management measures across its value chain focusing on responsible sourcing, sustainable procurement and greener logistics to mitigate potential environmental risks and contribute to long term sustainability. Recognising the scale and complexity of its upstream and downstream operations and the environmental risks inherent in material extraction, logistics, processing, and supply chain activities the Company continues to proactively strengthen its environmental stewardship across the value chain.

To minimise potential impacts and promote responsible environmental practices, Tata Steel undertakes several mitigation and adaptation measures, including the implementation of the RSCP which sets clear expectations on Environmental Protection for all suppliers. Critical suppliers are evaluated against the RSCP criteria, and gaps are addressed through corrective action plans.

Through the Sustainable Procurement Framework (**'SPF'**), Tata Steel embeds environmental considerations into procurement decisions. The framework encourages suppliers to adopt greener alternatives and participate in RSCP-aligned or globally recognised environmental certification programmes. Implementation of the SPF has been initiated and will be progressively scaled across more categories in the coming years to further reduce environmental risks associated with upstream value chain activities.

Tata Steel is progressively lowering the environmental footprint of transportation within its value chain through use of biofuels and LNG vessels for raw material shipments, deployment of CNG/LNG/electric vehicles in domestic logistics and introduction of low emission warehousing solutions (solar rooftop systems, energy efficient equipment etc.). These initiatives help in reducing GHG emissions, fuel consumption, and air pollution across the supply chain.

8. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

Tata Steel's RSCP focuses on the four ESG parameters: Health and safety, Fair business practices, Environmental Protection, and Human rights. *Additional information on Tata Steel's approach to these principles is under Section C, Principle 2 of this report.*

A summary of value chain partners assessed by key Tata Steel entities is provided below:

% of value chain partners assessed (by value of business)	TSL	TSN	TSUK
Environmental Impact	82	25	12

Principle 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

Tata Steel Limited has 35 affiliations with trade and industry chambers/associations. Additionally, Tata Steel's subsidiary companies have affiliations with various industry chambers/associations in their respective context. These would include state, national and international bodies.

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to:

S. No.	Name of the trade and industry chambers/associations	Reach of trade and industry chambers/ associations (State/National)
1.	Confederation of Indian Industry	National
2.	Federation of Indian Chambers of Commerce & Industry	
3.	Indian Steel Association	
4.	Indian Chamber of Commerce	
5.	Institute for Steel Development & Growth	
6.	World Steel Association	International
7.	ResponsibleSteel™	
8.	UN Global Compact	
9.	EUROFER	
10.	UK Steel Association	

2. Provide details of corrective action taken or underway on any issues related to anti- competitive conduct by the entity, based on adverse orders from regulatory authorities.

Not applicable.

Leadership Indicators

1. Details of public policy positions advocated by the entity:

The Company works with all stakeholders, relevant government and regulatory bodies, and apex industry associations, such as the World Steel Association, Confederation of Indian Industry, Federation of Indian Chambers of Commerce & Industry, and Indian Steel Association.

The Tata Code of Conduct guides the Company in all its advocacy. Some areas where the Company pursues policy advocacy are listed below:

Public Policy Advocated	Tata Steel's public policy advocacy seeks to enhance the steel industry's competitiveness and align with national strategic goals. Key efforts include: 1. Improving business ease and reducing costs 2. Increasing steel demand and rationalising mining regulations 3. Enhancing logistics infrastructure 4. Facilitating decarbonisation of the steel sector 5. Addressing unfair imports through trade measures **Advocacy examples:** 1. Collaborating on decarbonisation policies for the steel sector 2. Promoting a National Carbon Market for incentivising green growth 3. Rationalising mining taxes and ensuring raw material security 4. Advocating for efficient logistics like slurry pipelines 5. Supporting labour issues, gender equality, and skill development 6. Simplifying GST, customs processes, and strengthening legal frameworks 7. Encouraging a circular economy and increased scrap availability 8. Advancing low-carbon technologies like Carbon Capture and green hydrogen use 9. Boosting demand for low-carbon products and circular economy initiatives
Method resorted for such advocacy	1. Tata Steel Limited on a regular basis conducts meetings and dialogues with regulatory authorities and participates in formal and informal consultation process. 2. Leadership of, and participation in National and International Trade Organisations and including membership of various committees and forums of industry bodies, association and international standard setting organisations.
Information available in public domain (Yes/No)?	No
Frequency of review by Board	Quarterly, as part of the Business Performance Update to the Board
Weblink, if applicable	No

Principle 8: Businesses should promote inclusive growth and equitable development.

Essential Indicators

1. **Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.**

   Not applicable for this reporting period.

2. **Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:**

S. No.	Name of the project for which R&R is ongoing	State	District	No. of project affected families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (in ₹ Cr)
1	Tata Steel's Plant at Kalinganagar	Odisha	Jajpur	1,261	96.11	39.59

3. **Describe the mechanisms to receive and redress grievances of the community.**

   Tata Steel's grievance redressal mechanisms are customised to be most effective based on each location's specific requirements. *Please refer to Section A, Sub-section VII, Question 25 for the details.*

4. **Percentage of input material (inputs to total inputs by value) sourced from suppliers:**

Parameter	UoM	Tata Steel Standalone		Tata Steel Consolidated	
		FY2025-26	FY2024-25	FY2025-26	FY2024-25
Directly sourced from MSMEs/ small producers	%	11	10	11	10
Directly from within India	%	68	63	73	66

Note 1: *Total Purchases has been calculated in line with the Industry Standards Note on BRSR Core, as follows: Total Expenses - Finance Cost - Depreciation and Amortisation Expense – Employee Benefit Expenses excluding staff welfare expense – Other expenses with respect to Royalty, Rates & Taxes, Provision for Doubtful Debts & Advances, Provision for Impairment and Foreign Exchange Gain/Loss + Capital expenditure.*

Note 2: *Reasonable Assurance has been undertaken by Price Waterhouse & Co Chartered Accountants LLP, on the indicators in the table above for Standalone figures for FY2025-26. (highlighted in green)*

Note 3: *The consolidated figures are applicable for Indian entities only.*

5. **Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost**

Location	UoM	Tata Steel Standalone		Tata Steel Consolidated	
		FY2025-26	FY2024-25	FY2025-26	FY2024-25
Rural	%	0.03	0.03	0.24	0.22
Semi-urban	%	19.31	18.43	19.74	18.94
Urban	%	31.52	32.15	32.31	32.58
Metropolitan	%	49.14	49.39	47.71	48.26

Note 1: *The consolidated figures are applicable for Indian entities only.*

Note 2: *Reasonable Assurance has been undertaken by Price Waterhouse & Co Chartered Accountants LLP, on the indicators in the table above for Standalone figures for FY2025-26. (highlighted in green)*

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Details of negative social impact identified	Corrective action taken
NA	NA

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

S. No.	State	Aspirational District	Amount Spent (₹ crore)
1	Jharkhand	East Singhbhum (Purbi Singhbhum)	142.7
2	Jharkhand	West Singhbhum (Paschimi Singhbhum)	51.0
3	Odisha	Dhenkanal	13.9
4	Jharkhand	Ramgarh	12.5
5	Jharkhand	Ranchi	2.1
6	Jharkhand	Gumla	3.9
		Total	**226.1**

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalised /vulnerable groups? (Yes/No)

Yes. Tata Steel has a structured Affirmative Action Policy, guided by the Tata Affirmative Action Programme (**'TAAP'**), which promotes social equity, equal opportunity, and inclusion for marginalised and vulnerable communities. Through this policy, the Company extends preferential procurement support to suppliers belonging to AA communities, with a focus on enabling business opportunities, entrepreneurship development, and long term socio economic upliftment. The AA procurement framework forms an integral part of Tata Steel's inclusive growth agenda and is embedded within its procurement and supplier development processes. Out of ~ 2,000 supply chain partners from local states, 91 vendor partners belong to the AA and Displaced Person categories.

This question is not applicable to Company's overseas entities as they do not track their suppliers as marginalised/vulnerable.

(b) From which marginalised /vulnerable groups do you procure?

Tata Steel procures from several categories of marginalised and vulnerable groups under its Affirmative Action Policy. These include Scheduled Caste (SC), Scheduled Tribe (ST), Displaced Persons (DP) – particularly individuals and families displaced due to Tata Steel's expansion projects, at Kalinganagar.

In FY2025-26, Tata Steel achieved a significant milestone by becoming the first Tata Group Company to exceed ₹200 crore in procurement spend from AA vendors, demonstrating leadership in socially responsible sourcing. The Company is continuing its efforts this year to sustain and further strengthen this level of AA participation.

This question is not applicable to Company's overseas entities as they do not track their suppliers as marginalised/vulnerable.

(c) What percentage of total procurement (by value) does it constitute?

Business volume from Affirmative Action suppliers accounted for 19% of the addressable spend (₹1,200 crore), amounting to ₹254 crore in FY2025-26.

4. **Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:**

   Not Applicable.

5. **Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.**

   Not Applicable.

6. **Details of beneficiaries of CSR Project**

S. No	Corporate Social Responsibility Project	No. of People benefitted from the project	% of beneficiaries from vulnerable and marginalised groups
1	Public Health	18,75,914	100
2	Rural Infrastructure & Urban habitat	15,30,331	95
3	Education	11,15,902	90
4	Livelihoods (Agriculture)	7,35,495	100
5	Gender And Community Enterprises	5,03,793	100
6	Tribal Identity	3,67,515	100
7	Drinking Water	2,00,017	88
8	Grassroots Governance and Decentralised Planning	1,57,422	100
9	Sports	1,23,671	93
10	Environment	1,01,216	83
11	Disability linked Programmes	72,719	33
12	Volunteerism	62,771	-
13	Livelihoods (Skill Development)	61,597	24
14	Water conservation Initiatives	31,323	100
15	Sanitation	1,793	100
Total		**69,41,479**	**94**

Principle 9: Businesses should engage with and provide value to their consumers in a responsible manner.

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback

Please refer to Section A, Sub-section VII, Question 25 Grievance Redressal Mechanisms for Customers.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

Particulars	As a percentage to total turnover (%)
Environmental and Social Parameters	71
Safe and Responsible Usage	13
Recycling and/or Safe Disposal	38

3. Number of consumer complaints in respect of the following:

	FY2025-26			FY2024-25		
	Received during the year	Pending at the end of the year	Remarks	Received during the year	Pending at the end of the year	Remarks
Data Privacy	-	-	Nil	-	-	Nil
Advertising	-	-		-	-	
Cyber security	-	-		-	-	
Essential services delivery	-	-		-	-	
Restrictive trade practices	-	-		-	-	
Unfair trade practices	-	-		-	-	
Others	14,419	696		16,021	901	

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	-	NA
Forced recalls	-	

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, Tata Steel has a comprehensive policy on Information Security and data privacy. *The Information Security policy can be found at the following link:* https://www.tatasteel.com/media/5813/info-secy-2.pdf

Privacy Policy: https://www.tatasteel.com/privacy-policy/

For more details, please refer to the Ethics and Compliance section of Tata Steel's Integrated Report for FY2025-26.

6. **Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security `and data privacy of customers; re-occurrence of instances of product recalls; penalty/action taken by regulatory authorities on safety of products/services.**

There has been no such instance which has occurred during FY2025-26.

7. **Provide the following information relating to data breaches:**

FY2025-26	Standalone	Consolidated
Number of instances of data breaches	-	-
Percentage of data breaches involving personally identifiable information of customers	-	-
No. of data breaches involving personally identifiable information of customers	-	-
Impact, if any, of the data breaches	-	-

***Note:** Reasonable Assurance has been undertaken by Price Waterhouse & Co. Chartered Accountants LLP, on the indicators in the table above for Standalone figures for FY2025-26 (highlighted in green).*

Leadership Indicators

1. **Channels/platforms where information on products and services of the entity can be accessed (provide web link, if available).**

All Tata Steel and its Group entities have dedicated sections on their websites where detailed information on products and services are provided. Some key websites are listed below:

1	www.tatasteel.com	8	www.tsdpl.in
2	www.tatasteeluk.com	9	aashiyana.tatasteel.com
3	www.tatasteelnederland.com	10	digeca.tatasteel.com
4	www.tatasteelthailand.com	11	www.tatapipes.com
5	www.tatasteeluisl.com	12	compass.tatasteel.com
6	www.tatapravesh.com	13	catnic.com
7	www.nestin.co.in		

Tata Steel has focused on creation of digital platforms to strengthen direct connect with customers and channel partners. These solutions are designed to provide innovative services and solutions for all segments.

2. **Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.**

Tata Steel undertakes extensive initiatives across its global operations to educate customers on the safe and responsible usage of its products. The Company uses brochures, digital platforms, training programmes for channel partners, and technical guidance to ensure that product features, safety standards, and best-use practices are clearly communicated to all stakeholders, including retail consumers, Small and Medium Enterprises (**'SME's**), fabricators, architects, engineers, and influencers.

Tata Steel undertakes extensive initiatives to educate consumers on the safe and responsible use of its products through a mix of training, engagement, and digital outreach.

The Company uses brochures, digital platforms, technical guidance, and training programmes for sales teams, channel partners, and influencers to communicate product features, safety standards, and best practices. In India, structured programmes such as the Tiscon Learning Academy, Daksh, and Grand Master programme has brought more than 6,000 Architects, Contractors and Engineers (**'ACEs'**) into its fold, while the MITR initiative has benefited over 45,000 masons and bar benders with skill development and safety awareness.

Customer education is further supported through platforms like Converse to Construct, Aspire to Inspire, Co-LAB, and Reinforced, generating widespread stakeholder engagement. Demonstrations and training sessions also promote safe adoption of innovative solutions such as Tiscon ReadyBuild, Couplers, Sm@rtFAB, and Bore Pile Cages.

Brand-led initiatives like Wired2Win and Durashine Masters provide digital learning, product tutorials, installation guidance, and safety practices. Programmes such as Tata Structura's Sitare have trained fabricators through hands-on workshops. Additionally, Tata Shaktee and Tata Kosh conduct around 3,000 annual consumer engagements focused on safe handling and proper application.

Tata Steel also supports SME and B2B customers through initiatives like Create, Techtalk, Skilling India, and insIITe, along with industry platforms and technical collaborations. These efforts are complemented by dealer counselling, in-store communication, and digital content that guide installation, maintenance, and product authenticity checks.

Overall, these initiatives help prevent misuse, promote safety, and enable informed decision-making across the value chain.

3. **Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services:**

Tata Steel has established a comprehensive communication framework to keep its customers proactively informed about any potential or actual disruptions in service delivery. These mechanisms ensure transparency, timely alerts, and effective coordination to minimise business impact.

Direct Customer Communication Channels: Sales manager, marketing teams, Customer Relationship Managers and supply chain teams stay in regular contact with customers through Physical visits, emails and phone, closely tracking orders and communicating any deviations. When Tata Steel faces major operational disruptions—such as pandemics, supply chain disruptions, or large scale emergencies—the senior leadership team ensures that customers and stakeholders are duly informed through structured, written communication. This includes press releases, leadership messages, and formal updates shared through digital and traditional channels.

Digital Platforms for order and delivery visibility: DigECA (India), Aashiyana (India), Compass (India), SFDC (Sales Force dot com), CRM Pravesh (India), Nexus (UK, Netherlands), TSTH Connect (Thailand) and web portal provide full transparency into order and delivery status.

Automated Dispatch Notifications (India B2B): provides dispatch information via email and SMS.

Broad-Based Public Communication: In situations where disruptions have a wider impact, Tata Steel disseminates information through publicly accessible channels such as the Company's official website, Social media handles, Press releases and media briefings.

Proactive Mitigation and Customer-Centric Adjustments: Tata Steel's internal processes allow operational teams to adjust production and delivery schedules based on customer feedback. This proactive approach helps reduce disruption risks and strengthens customer confidence.

4. **Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products/services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No).**

Yes, Tata Steel goes beyond local regulatory requirements by providing enhanced product information and transparency. Several products are certified under CII's GreenPro Ecolabel and comply with standards such as Restriction of Hazardous substances (RoHS) reflecting strong environmental performance. Key certified products include Tata Tiscon, Tata Pravesh, Tiscobuild, Tata Agrico.

Tata Steel UK further strengthens transparency by publishing over 100 Environmental Product Declarations (**'EPDs'**), detailing lifecycle environmental impacts such as carbon footprint.

Consumer satisfaction surveys:

Yes, Tata Steel conducts regular customer satisfaction assessments. Feedback is collected through multiple platforms and periodic surveys, including metrics such as Customer Satisfaction Index and Net Promoter Score. Additionally, an annual Customer Satisfaction & Experience Survey (**'CSES'**) is conducted by an independent third party across key customer segments and locations.

The survey evaluates parameters like product quality, delivery, service, engagement, and technical support. Insights are analysed, benchmarked, and reviewed by senior management to identify improvement areas and guide strategic decisions.

The trend of Tata Steel Limited's Customer Satisfaction Index over the last three calendar years is provided below:

	CY2025	CY2024	CY2023
CSI Score Trend (Out of 100)	85.1	85.1	86.1

BOARD'S REPORT

To the Members,

The Board of Directors (**'Board'**) of Tata Steel Limited (**'Tata Steel'** or **'Company'**) take pleasure in presenting the 11th Integrated Report prepared as per the Integrated Reporting <IR> framework of the International Integrated Reporting Council (now consolidated into IFRS Foundation) and the 119th Annual Accounts on the business and operations of Tata Steel, along with the summary of standalone and consolidated financial statements for the financial year ended March 31, 2026.

A. Financial Results

(₹ crore)

Particulars	Tata Steel Standalone		Tata Steel Group	
	2025-26	2024-25	2025-26	2024-25
Revenue from operations	1,39,720.22	1,32,516.66	2,32,139.94	2,18,542.51
Total expenditure before finance cost, depreciation (net of expenditure transferred to capital)	1,07,248.40	1,04,651.17	1,97,787.50	1,93,244.06
Operating Profit	32,471.82	27,865.49	34,352.44	25,298.45
Add: Other income	2,165.70	2,246.90	1,401.78	1,540.53
Profit before finance cost, depreciation, exceptional items and tax	34,637.52	30,112.39	35,754.22	26,838.98
Less: Finance costs	5,116.88	4,238.35	7,167.06	7,340.95
Profit before depreciation, exceptional items and tax	29,520.64	25,874.04	28,587.16	19,498.03
Less: Depreciation and amortisation expenses	7,068.68	6,253.16	11,954.51	10,421.33
Profit/(Loss) before share of profit/(loss) of joint ventures & associates, exceptional items & tax	22,451.96	19,620.88	16,632.65	9,076.70
Share of profit/(loss) of Joint Ventures & Associates	-	-	368.50	190.81
Profit/(Loss) before exceptional items & tax	**22,451.96**	**19,620.88**	**17,001.15**	**9,267.51**
Add/(Less): Exceptional Items	(1,098.86)	(902.04)	(1,032.46)	(854.64)
Profit before tax	**21,353.10**	**18,718.84**	**15,968.69**	**8,412.87**
Less: Tax Expense	5,287.97	4,749.14	5,082.87	5,239.09
(A) Profit/(Loss) after tax	**16,065.13**	**13,969.70**	**10,885.82**	**3,173.78**
Total Profit/(Loss) for the period attributable to:				
Owners of the Company	-	-	10,793.87	3,420.51
Non controlling interests	-	-	91.95	(246.73)
(B) Total other comprehensive income	(2,769.69)	(23,973.16)	5,492.11	273.30
(C) Total comprehensive income for the period **[A + B]**	13,295.44	(10,003.46)	16,377.93	3,447.08
Retained Earnings: Balance brought forward from the previous year	**1,09,729.39**	**1,00,380.17**	**33,698.53**	**34,815.73**
Add: Profit for the period	16,065.13	13,969.70	10,793.87	3,420.51
Add: Other Comprehensive Income recognised in Retained Earnings	245.41	(126.41)	338.63	(50.49)
Add: Other movements within equity	-		(666.36)	2.65
Balance	1,26,039.93	1,14,223.46	44,164.67	38,188.40
Which the Directors have apportioned as under to:-				
(i) Dividend on Ordinary Shares	4,494.07	4,494.07	4,489.87	4,489.87
Total Appropriations	**4,494.07**	**4,494.07**	**4,489.87**	**4,489.87**
Retained Earnings: Balance to be carried forward	**1,21,545.86**	**1,09,729.39**	**39,674.80**	**33,698.53**

Notes:

During the year under review, exceptional items (Consolidated Accounts) primarily represent:

a. Provision for impairment of non-current assets ₹120 crore, for partly retained assets as part of sale of ferro chrome plant at Tata Steel Limited (Standalone).

b. Net Provision for Employee Separation Scheme (**'ESS'**) amounting to ₹485 crore under Sunehere Bhavishya Ki Yojana (**'SBKY'**) and other scheme at Tata Steel Limited (Standalone), Tata Steel Downstream Products Limited (**'TSDPL'**) and Neelachal Ispat Nigam Limited (**'NINL'**).

c. Provision for Statutory Impact of New Labour codes at Tata Steel Limited (Standalone), NINL and other Indian subsidiaries ₹85 crore.

d. Provision for demands and claims at Tata Steel UK (**'TSUK'**) and Tata Steel Netherlands (**'TSN'**) ₹379 crore.

e. Provision for redundancy charges at TSUK and TSN ₹994 crore.

f. Impairment of Property Plant and equipment and Capital work in progress at TSUK, TSN, Tata Steel Minerals Canada (**'TSMC'**) and NINL ₹204 crore.

g. Loss on sale of non-current investments at Tata Steel Advanced Materials Limited ₹14 crore.

Partly offset by,

h. Fair valuation gain on non-current investments amounting to ₹26 crore at Tata Steel Limited (Standalone).

i. Fair value gain of existing stake in Tata Steel Colors Private Ltd. on account of acquisition of balance remaining stake ₹901 crore.

j. Profit on sale of Jajpur Ferro Chrome plant at Tata Steel Limited (Standalone) ₹322 crore.

The exceptional items (Consolidated Accounts) in Financial Year 2024-25 primarily include:

a. Provision for impairment of non-current assets ₹119 crore, which primarily includes impairment of Property, plant and equipment, intangibles (including capital work-in-progress) at TSUK and TSN.

b. Net Provision for Employee Separation Scheme (**'ESS'**) amounting to ₹692 crore under Sunehere Bhavishya Ki Yojana (**'SBKY'**) and other scheme at Tata Steel Limited (Standalone), TSDPL and NINL.

c. Contribution to Electoral Trust ₹173 crore at Tata Steel Limited (Standalone).

d. Loss on sale of subsidiaries and non-current investments (net) at TSUK amounting to ₹7 crore.

Partly offset by,

e. Gain on sale of non-current assets at Tata Steel (Thailand) Public Company Limited (**'TSTH'**) amounting to ₹62 crore on sale of land.

f. Fair valuation gain on non-current investments amounting to ₹17 crore at Tata Steel Limited (Standalone).

g. Credit of ₹58 crore under restructuring and other provisions mainly at TSUK due to reversal of provision in respect of heavy-end restructuring.

1. Dividend Distribution Policy

In terms of Regulation 43A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (**'SEBI Listing Regulations'**), the Board of the Company has formulated and adopted the Dividend Distribution Policy (**'Policy'**).

The Policy is available on the website of the Company at https://www.tatasteel.com/media/6086/dividend-policy-final.pdf

2. Dividend

For the FY2025-26, the Board has recommended a dividend of ₹4/- per Ordinary (equity) Share of face value ₹1/- each (previous year: ₹3.60 per Ordinary (equity) Share of face value ₹1/- each).

The Board has recommended dividend based on the parameters laid down in the Dividend Distribution Policy. The dividend will be paid out of the profits for the year.

The dividend on Ordinary (equity) Shares is subject to the approval of the Shareholders at the Annual General Meeting (**'AGM'**) scheduled to be held on Thursday, July 2, 2026 and will be paid, only in electronic form, on and from Monday, July 6, 2026.

The Record Date fixed for determining entitlement of Members to final dividend for the financial year ended March 31, 2026, if approved at the AGM, is Friday, June 12, 2026.

Based on the Ordinary (equity) Shares as on the date of this report, the dividend, if approved, would result in a cash outflow of ~₹4,993.41 crore. The dividend on Ordinary (equity) Shares is 400% of the paid-up value of each share. The total dividend pay-out works out to 31% of the net profits of ₹16,065 crore (on Standalone basis).

Pursuant to the Finance Act, 2020, dividend income is taxable in the hands of the shareholders effective April 1, 2020 and the Company is required to deduct tax at source from dividend paid to the Members at prescribed rates as per the Income Tax Act, 2025.

3. Transfer to Reserves

The Board of Directors has decided to retain the entire amount of profit for the FY2025-26 in the statement of profit and loss.

4. Capex and Liquidity

During the year under review, the Company, on a consolidated basis spent ₹14,559 crore on capital projects primarily across India and operations at the Netherlands and the UK, largely towards ongoing growth projects in India and the UK, essential sustenance and replacement schemes.

The Company's liquidity position, on a consolidated basis, is ₹45,237 crore as on March 31, 2026, comprising ₹11,573 crore in cash and bank balances (including current investments) and balance in undrawn credit lines.

5. Management Discussion and Analysis

In terms of Regulation 34(2)(e) of the SEBI Listing Regulations, the Management Discussion and Analysis forms part of this 11th Integrated Report and 119th Annual Accounts for FY2025-26 (**'Integrated Report'**).

6. Tax Transparency Report

The Tax Transparency Report for FY2025-26 forms part of this Integrated Report.

B. Integrated Report and Business Responsibility and Sustainability Report

In keeping with the Company's valued tradition of 'thinking about society and not just the business', in 2016, Tata Steel Limited transitioned from compliance based reporting to governance based reporting by adopting the Integrated Reporting <IR> framework of the International Integrated Reporting Council (now consolidated into IFRS Foundation). This Integrated Report highlights the measures taken by the Company that contributes to long-term sustainability and value creation, while embracing different skills, continuous innovation, sustainable growth and a better quality of life.

In accordance with Regulation 34(2)(f) of the SEBI Listing Regulations, the Company is glad to present it's 4th Business Responsibility and Sustainability Report for FY2025-26.

C. Operations and Performance

1. Tata Steel Group

For FY2025-26, the consolidated crude steel production for Tata Steel Group (**'TSG'**) was 31.67 MT which was higher by 2% (FY2024-25: 30.92 MT), primarily owing to ramp-up of BF#2 at Tata Steel Kalinganagar during the year. There was no liquid steel production at Tata Steel UK (**'TSUK'**) during FY2025-26 post shut down of Blast Furnaces during H2FY2024-25. Production at Tata Steel Netherlands (**'TSN'**) was marginally lower due to planned maintenance in FY2025-26.

The consolidated steel deliveries of TSG at 31.97 MT in FY2025-26 showed an increase of 3% (FY2024-25: 30.96 MT), primarily at Tata Steel Standalone (1.58 MT) mainly on account of commissioning of BF#2 at Tata Steel Kalinganagar. Deliveries decreased at TSN by 0.10 MT due to lower production and despatches to TSUK.

The turnover of TSG in FY2025-26 was ₹2,32,140 crore, higher over FY2024-25 by ₹13,597 crore (6%) on account of increase in deliveries at the Indian operations and South East Asian operations attributable to increase in production, partly offset by decline in steel realisations across geographies.

The EBITDA of TSG in FY2025-26 was ₹34,848 crore, higher over FY2024-25 by ₹9,046 crore (35%), primarily due to increase in EBITDA at Tata Steel Standalone due to lower coal cost and higher deliveries which were partly offset by lower average net realisation, increase at TSN due to reduction in raw material cost partly offset by lower deliveries and lower EBITDA loss at TSUK due to closure of heavy end operations and reduction in its associated expenses partly offset by lower margins.

2. India

During FY2025-26, the crude steel production at Tata Steel Standalone increased to 22.47 MT which was higher by 8% (FY2024-25: 20.72 MT) attributable to commissioning of BF#2 at Tata Steel Kalinganagar during the year. The turnover (standalone) was ₹1,39,720 crore (FY2024-25: ₹1,32,517 crore), which was higher against previous year by 5% on account of increase in deliveries by 1.58 MT mainly due to ramp-up of BF#2 at Tata Steel Kalinganagar, partly offset by lower average realisation compared to last year. EBITDA was ₹33,036 crore (FY2024-25: ₹28,217 crore), which was higher by 17% than that of the previous year, primarily on account of increase in deliveries and lower raw material cost (mainly coking coal), partly offset by decrease in steel prices.

Neelachal Ispat Nigam Limited (**'NINL'**) achieved crude steel production of 0.95 MT, while deliveries stood at 0.91 MT, both at par with previous year. The turnover at ₹5,282 crore was lower on account of decline in steel prices. EBITDA at ₹1,236 crore was higher against ₹1,067 crore in the previous year primarily on account of decrease in raw material prices.

Total deliveries of Tata Steel - India operations, stood at 22.53 MT which is higher than the previous year by 8% due to higher production. The turnover at ₹1,40,302 crore was higher by ~5% against the previous year's turnover primarily due to higher volumes, partly offset by lower average steel realisation. EBITDA (excluding intercompany eliminations and adjustments) was ₹34,272 crore, which was higher by 17% over the previous year, due to decrease in raw material cost in imported coking coal prices and other cost saving initiatives along with higher deliveries partly offset by decline in steel realisations.

3. Tata Steel Netherlands

During FY2025-26, liquid steel production from the Netherlands operations was 6.69 MT (FY2024-25: 6.75 MT), which was slightly lower against the previous year. Deliveries from the Netherlands operations decreased by around 2% to 6.14 MT. The turnover at ₹61,355 crore (FY2024-25: ₹56,889 crore) was higher than FY2024-25 owing to exchange translation, partly offset by reduction in average revenue per tonne and decrease in deliveries.

EBITDA from the Netherlands operations stood at ₹2,722 crore (FY2024-25: ₹825 crore) which was higher over the previous year. This significant improvement in EBITDA was on account of decrease in raw material cost and lower other expenses due to various improvement initiatives.

4. Tata Steel UK

During FY2025-26, there was no liquid steel production from the UK operations (FY2024-25: 1.07 MT), due to complete closure of primary steelmaking facilities during H2FY2024-25. Deliveries from the operations decreased by around 12% to 2.21 MT. The turnover at ₹23,333 crore (FY2024-25: ₹24,990 crore) was marginally lower than FY2024-25 owing to reduction in average revenue per tonne and decrease in deliveries.

EBITDA loss from the UK operations reduced to negative ₹2,569 crore in FY2025-26 from negative ₹4,134 crore in FY2024-25 which was lower over the previous year's operating loss. This significant improvement in EBITDA was on account of reduction in employee cost, repair and maintenance and lower other expenses due to closure of heavy end operations and various improvement initiatives.

D. Key Developments

1. Business Developments

1. Tata Steel India

a) Tata Steel's long-term strategy for its India business

Tata Steel's long-term strategy for its India business is anchored in achieving profitable, disciplined and sustainable growth, guided by prudent capital allocation and a strong focus on long-term value creation. The Company is prioritising investments to drive volume growth through phased capacity expansions across both long and flat steel products, including the 4.8 MTPA expansion of NINL and the proposed 2.5 MTPA Thin Slab Caster and Rolling facilities at Tata Steel Meramandali. Simultaneously, Tata Steel is strengthening its value-added and downstream portfolio through targeted investments in advanced processing facilities, enabling deeper penetration into high-margin segments such as retail construction, automotive and coated products, while enhancing customer proximity and reducing import dependence. The Company is in the process of setting up 0.7 MTPA Hot Rolled Pickling and Galvanising Line at its existing Cold Rolling Complex in Tarapur, Maharashtra, India to meet the requirements of its automotive customers for import substitution and further consolidate its leadership position in this segment, making it 'first of its kind' facility in India.

In parallel, the Company is securing structural competitiveness by investing in identified mining assets, pelletisation capacity and logistics infrastructure through strategic acquisitions and collaborations, particularly in eastern and western India, to ensure raw material security and cost efficiency. Sustainability and future ready steelmaking form a core pillar of the strategy, with focused investments in next-generation, low carbon technologies, including the proprietary HIsarna technology, alongside progress on digital transformation and operational excellence. Through this integrated approach, Tata Steel aims to reinforce its leadership position in India's steel sector while aligning growth with decarbonisation, responsible operations and long-term stakeholder value creation.

Tata Steel owns the global intellectual property rights of the HIsarna process technology, and this is one of the key focus areas in the new technology space for the Company. HIsarna technology is a low carbon technology that uses lower quality iron ore, eliminates the usage of coke and also uses steel slag in its process, hence making it a sustainable technology for the future. Tata Steel has been operating its pilot plant on HIsarna technology for a decade in its IJmuiden plant. The Company has now evaluated the scalability and opportunities associated with the technology and has planned to set up a demonstration plant of around 1 MTPA capacity in Jamshedpur.

The Company also entered into a non-binding Memorandum of Understanding with Lloyd Metals & Energy Limited to explore strategic collaboration opportunities in the Gadchiroli district of Maharashtra, India including iron ore mining, logistics infrastructure such as slurry pipelines, pelletisation, and steelmaking, with a view to enhance raw material security and enable long-term growth. This partnership envisages operating mining concessions to scale up iron ore production, development by Tata Steel of a greenfield steel capacity of 6 MTPA in two phases, and co-operation in integrated steel projects being developed by Lloyds Metals & Energy Limited subject to detailed evaluation, due diligence, and necessary regulatory and internal approvals.

b) Inauguration of Tata Steel's 'first Scrap-based Electric Arc Furnace' in India

The inauguration of our first scrap-based Electric Arc Furnace ('**EAF**') at Ludhiana, Punjab, India marks a pivotal advancement in Tata Steel's strategic business development and sustainability agenda. This approximately ₹3,200 crore investment, with a production capacity of 0.75 MTPA, is a cornerstone of our commitment to achieving Net Zero emissions by 2045, significantly reducing our CO_2 footprint to less than 0.3 tonnes per tonne of steel produced. By leveraging 100% steel scrap, including 40% from the Rohtak recycling plant, and integrating nearly 50% renewable energy, this facility will not only bolster our market leadership with the production of construction-grade 'Tata Tiscon' rebar but also exemplify our dedication to responsible growth. Furthermore, through the Tata Steel Foundation, we are actively enhancing employability, education, and climate-resilient agriculture in this region, reinforcing our holistic approach to stakeholder value creation.

c) Other Significant Developments

During the year, the Company achieved significant milestones in advancing its business and strengthening its operational footprint. It successfully inaugurated the expanded Tata Steel Kalinganagar Plant, increasing crude steel capacity from 3 MTPA to 8 MTPA, marking a key step in its journey towards building a state-of-the-art, future ready steel manufacturing ecosystem anchored in sustainability, advanced technology, and inclusive growth. In Jamshedpur, the Company commissioned a new 0.5 MTPA Combi Mill facility to produce speciality bars and wire rods catering to critical automotive applications. Further, in line with its strategy to enhance its presence in value-added downstream products, the Company approved the expansion of its existing tinplate manufacturing unit in Jamshedpur by 0.3 MTPA, which is expected to reinforce its leadership in the domestic tinplate market while enabling it to tap export opportunities.

Tata Steel also entered into definitive agreements with Paul Wurth S.A. (Luxembourg), part of the SMS Group GmbH, to implement the world's first EASyMelt technology. The Company plans to undertake the first industrial demonstration of this technology in a phased manner at the 'E' Blast Furnace (649 m^3) at its Jamshedpur Works, reinforcing its focus on decarbonising ironmaking through resource-flexible, low-carbon solutions with the potential to achieve climate neutrality.

2. Tata Steel Nederland

On September 29, 2025, the Government of the Netherlands and the province of North-Holland, Tata Steel and Tata Steel Nederland ('**TSN**') have agreed an intended framework for the integrated project in TSN and signed a non-binding Joint Letter of Intent ('**JLoI**') for the first phase of transition to low CO_2 steel production and to improve the healthy living environment around the IJmuiden site.

The 'Integrated Decarbonisation and Health measures Project' at TSN targets an initial 5.4 MTPA reduction in CO_2 emissions through the decommissioning of Blast Furnace #7 and Coke and Gas Plant 2, and the construction of a Direct Reduced Iron plant and Electric Arc Furnace. The capital expenditure spend and phasing will be finalised at the stage of signing of the tailor-made agreement and at the point of making the final investment decision, and the project execution will also be spread over several years. The Dutch government intends to support up to €2 billion under the JLoI. Additionally, TSN has made an application to the EU Innovation Fund for ~€0.3 billion. The remaining amount is expected to be funded by a combination of the cash generated and contributed by Tata Steel Nederland, project financing debt, and funding procured by the Company over the period of project spend. While this JLoI marks a critical milestone, we continue to diligently work towards a final binding agreement, addressing policy matters, securing necessary permits, and managing legacy liabilities to ensure the successful realisation of our Net Zero ambitions by 2045.

3. Tata Steel UK

In advancement of our global green transformation strategy, Tata Steel has officially broken ground on the £1.25 billion Electric Arc Furnace (**'EAF'**) project at Port Talbot, marking the commencement of the UK's largest low-carbon steelmaking transition. This strategic investment, bolstered by a £500 million partnership with the UK Government, secures our long-term industrial footprint in the region while positioning the Company at the vanguard of sustainable manufacturing. By transitioning to EAF technology, we are not only projected to reduce site-level CO_2 emissions by 90%-equivalent to 5 million tonnes annually-but also ensuring the futureproofing of our high-quality steel production through a circular economy model utilising domestic scrap.

2. Amalgamation

Amalgamation of Neelachal Ispat Nigam Limited into and with Tata Steel Limited

The Board of the Company, at its meeting held on March 17, 2026, approved the Scheme of Amalgamation of Neelachal Ispat Nigam Limited, a wholly-owned subsidiary of Tata Steel Limited, into and with the Company. The process of amalgamation is underway and the same is subject to approval from judicial/regulatory authorities. This amalgamation will result in operational efficiencies and business synergies. In addition, it will also lead to a simplified corporate structure that will bring agility to business ecosystem of the Company.

3. Acquisitions, Investments and Divestments

a) Acquisition of stake in Indian Foundation for Quality Management

On April 1, 2025, the Company acquired 1,24,90,000 equity shares of face value ₹10/- each aggregating to ₹12.49 crore in Indian Foundation for Quality Management (**'IFQM'**), a company registered under Section 8 of the Companies Act, 2013. IFQM aims to empower and encourage the Indian organisations in diverse sectors to embrace and integrate quality values, principles and practices in all aspects of management. Post the acquisition, the Company's equity stake in IFQM has increased to 16.66%.

b) Acquisition of stake in T Steel Holdings Pte. Ltd.

During FY2025-26, the Company acquired, in tranches, 2483,95,00,418 equity shares of T Steel Holdings Pte. Ltd., wholly-owned foreign subsidiary of the Company, at face value per share ranging between USD 0.1005 to USD 0.1008 as per valuation report, for a consideration aggregating to USD 2.5 billion (~₹22,398 crore), calculated as per the foreign exchange conversion rates applicable during the reporting period.

c) Acquisition of stake in TSN Wires Company Limited

On July 31, 2025, Siam Industrial Wire Company Limited (**'SIW'**), an indirect wholly-owned foreign subsidiary of Tata Steel Limited incorporated in Thailand, executed a Share Purchase Agreement with Nichia Steel Works Ltd., (**'Nichia'**) for acquisition of entire 40% equity stake held by Nichia in TSN Wires Company Limited (**'TSN Wires'**), a 60:40 joint venture company between SIW and Nichia, at a nominal consideration of THB 100. On August 6, 2025, SIW completed the acquisition and its shareholding in TSN Wires increased from 60% to 100%. This acquisition will enhance synergies and improve efficiency in management of SIW and TSN Wires. Post this acquisition, TSN Wires became an indirect wholly-owned foreign subsidiary of the Company.

d) Divestment of entire stake in Ceramat Private Limited

On August 18, 2025, Tata Steel Advanced Materials Limited (**'TSAML'**), a wholly-owned subsidiary of the Company, divested its entire equity (90%) and preference (100%) stake held in Ceramat Private Limited (**'CPL'**), to Lionstead Applied Materials Private Limited, wholly-owned subsidiary of Lionstead Ventures LLP. With this divestment, TSAML ceased to hold any securities in CPL and consequently CPL ceased to be a subsidiary of the Company.

e) Sale of Ferro Alloy Plant to Indian Metals & Ferro Alloys Ltd.

On November 4, 2025, the Company executed an Asset Transfer Agreement with Indian Metals & Ferro Alloys Ltd. (**'IMFA'**) for the sale of its Ferro Alloy Plant at Jajpur, Odisha for a base consideration of ₹610 crore. On February 27, 2026, upon receipt of necessary regulatory approvals, the Company successfully completed this sale transaction. This sale aligns with the Company's strategy of optimising our ferrochrome processing footprint, in view of the planned surrender of the Sukinda mining lease.

f) Acquisition of stake in LAG Velsen B.V.

On November 14, 2025, Tata Steel IJmuiden B.V., (**'TSIJ'**) an indirect wholly-owned foreign subsidiary of the Company at Netherlands, executed a Share Purchase Agreement with Vattenfall Power Generation Netherlands B.V. (**'Vattenfall'**), for acquisition of 100% equity stake in LAG Velsen B.V., an entity to be incorporated by Vattenfall for the purpose of this transaction, at an agreed purchase price of up to €140 million (~₹1,450 crore). Tata Steel Nederland's operations require power plants for the continued conversion of its process gases and are important for TSIJ operations. With the acquisition of LAG Velsen B.V., TSIJ acquired three power plants in the Netherlands. Post this acquisition, LAG Velsen B.V. became an indirect wholly-owned foreign subsidiary of the Company.

g) Acquisition of stake in Tata Steel Colors Private Limited (formerly Tata BlueScope Steel Private Limited)

On December 31, 2025, the Company acquired 43,29,90,000 equity shares (49.99% stake) of face value ₹10/- each for a consideration of ₹1,099.97 crore in Tata BlueScope Steel Private Limited (a 50:50 joint venture between Tata Steel Limited and BlueScope Steel Limited, through their respective wholly-owned subsidiaries) from BlueScope Steel Asia Holdings Pty Ltd (**'BSAH'**) as per the terms and conditions of the Share Purchase Agreement executed on November 12, 2025 (**'SPA'**). The acquisition is part of the Company's broader strategy to focus on downstream business in the flat products segment. Post this acquisition, the Company indirectly held 99.99% stake in Tata BlueScope Steel Private Limited and it became an indirect subsidiary of the Company. Thereafter, the name of Tata BlueScope Steel Private Limited was changed to Tata Steel Colors Private Limited. On April 9, 2026, the Company acquired the remaining 10,000 equity shares (0.01% stake) of face value ₹10/- each for a consideration of ₹0.03 crore in Tata Steel Colors Private Limited from BSAH on same terms and conditions as mentioned in the SPA. Tata Steel Colors Private Limited became wholly-owned subsidiary of the Company.

h) Acquisition of stake in Thriveni Pellets Private Limited

On January 30, 2026, upon receiving approvals from the Competition Commission of India, the Company acquired 90,06,801 equity shares of face value ₹10/- each comprising 50.01% stake, for a consideration of ₹635.13 crore in Thriveni Pellets Private Limited (**'TPPL'**) from Thriveni Earthmovers Private Limited. The balance 49.99% stake in TPPL will continue to be held by Lloyds Metals & Energy Limited. TPPL holds 100% equity stake in Brahmani River Pellets Private Limited (**'BRPL'**). This acquisition aims to secure pellet making facility for supply of iron ore pellets to the Company in India. Post this acquisition, the Company, directly holds 50.01% in TPPL and indirectly holds 50.01% in BRPL. TPPL and BRPL have both become subsidiaries of the Company.

i) Acquisition of stake in Medica TS Hospital Private Limited

On March 30, 2026, the Company acquired the following securities in Medica TS Hospital Private Limited (**'Medica TS Hospital'**), a subsidiary company, from Manipal Hospitals Eastern India Private Limited (formerly known as Medica Hospitals Private Limited), as per the terms and conditions of the Share Purchase Agreement executed on March 17, 2026, for an aggregate consideration of ₹1.49 crore:

a) 7,40,000 equity shares of face value ₹10/- each, constituting 49% equity stake; and

b) 2,30,05,182 - 0.01% Optionally Convertible Redeemable Preference Shares constituting 31.85% of preference share stake.

The above acquisition will enable the Company to extend better healthcare facility to its employees, contract workers, their families, and the local community at Kalinganagar. Post this acquisition, Medica TS Hospital has become a wholly-owned subsidiary of the Company.

j) Acquisition of stake in TP Adarsh Limited

On April 21, 2026, the Company executed the Share Subscription and Shareholders' Agreement with Tata Power Renewable Energy Limited and TP Adarsh Limited (**'TPAL'**) and completed the acquisition, by way of subscription, of 59,00,000 equity shares of face value of ₹10/- each of TPAL (26% equity shareholding) for an aggregate consideration of ₹5.90 crore. The objective of the acquisition is to optimise the Company's power cost and carbon footprint by replacing grid power with cost effective renewable power. Post this transaction, TPAL has become an indirect associate company of Tata Steel Limited.

4. Credit Rating

During FY2025-26, Tata Steel upheld its position as the only Indian steel company with dual investment-grade ratings. The Company maintained a 'BBB, Outlook: Stable' rating from S&P Global Ratings and a 'Baa3, Outlook: Stable' rating from Moody's. Both international agencies reaffirmed the Company's credit ratings, citing its large scale, strong market position, higher output in India, and the Company's ongoing cost-reduction initiatives. These ratings place the Company at par with India's sovereign rating.

Domestic rating agencies (India Ratings and CARE Ratings) also reaffirmed their confidence in Tata Steel's creditworthiness. India Ratings assigned the Company's debt instruments a rating of 'AAA, Outlook: Stable', while CARE Ratings reaffirmed its rating of 'AA+, Outlook: Stable'.

5. Material Litigation

a) The State of Odisha (**'State'**) enacted the Orissa Rural Infrastructure and Socio-Economic Development Act, 2004 (**'ORISED Act'**), effective February 1, 2005, providing for levy of tax on mineral-bearing land. The Company had challenged the constitutional validity of the ORISED Act before the Hon'ble High Court of Orissa, which in 2005 held that the State lacked legislative competence to levy tax on minerals. This was challenged by the State before the Hon'ble Supreme Court. Similarly, matters from several other states involving the legislative authority of the States to tax minerals were also challenged before the Hon'ble Supreme Court. In view of this, the Hon'ble Supreme Court framed common questions of law arising in the matter and in 2011, referred them for decision to its Constitution Bench. The Constitution Bench of the Hon'ble Supreme Court, vide its judgement dated July 25, 2024, held that the Mines and Minerals (Development and Regulation) Act, 1957 does not denude the States of the power to levy tax on mineral rights. Certain clarifications were also issued by the Constitution Bench on August 14, 2024 in respect of its judgement dated July 25, 2024. Thereafter, a batch of review petitions against the judgement dated July 25, 2024 and August 14, 2024 were dismissed on September 24, 2024. On January 17, 2025, the Company has filed Curative Petition(s) before the Hon'ble Supreme Court invoking its extraordinary jurisdiction against the aforesaid order dated September 24, 2024. The matter remains subject to the outcome of the Curative Petition(s) filed by the Company.

b) On March 13, 2025, the Company had received a show cause notice from the Assessing Officer, Office of the Deputy Commissioner of Income Tax, Circle 2(3)(1), Mumbai in connection with waiver of a ₹25,185.51 crore loan in favour of Tata Steel BSL Limited (now merged with the Company), for the purpose of reassessment of taxable income for AY2019-20. On March 24, 2025, the Company had filed a writ petition with the Hon'ble High Court of Bombay, challenging the authority of the Assessing Officer in conducting the reassessment of this taxable income. Further, on March 31, 2025 the Company had received an Assessment Order issued by the Assessing Officer, reassessing the taxable income for AY2019-20 and increasing the taxable amount by the amount of debt waived.

On August 12, 2025, the Hon'ble High Court of Bombay heard the matter and set aside the Notice and all subsequent proceedings or orders arising therefrom.

c) On April 2, 2024, the Company filed a writ petition before the Hon'ble High Court of Calcutta in the matter of rejection of a representation made by the Company in respect of waiver of loans availed by the Company from the Steel Development Fund, managed by the Joint Plant Committee (**'JPC'**). After multiple hearings, on May 24, 2024, the Hon'ble High Court of Calcutta dismissed the writ petition filed by the Company, with liberty to the Company to approach the JPC. The Company filed an appeal against this order before the Hon'ble High Court of Calcutta. In the meantime, the Company discharged its liability towards JPC aggregating to ₹2,970 crore, without prejudice to its rights and contentions in the Appeal pending before the Hon'ble High Court of Calcutta.

d) On July 3, 2025, the Company had received a Demand Letter issued by the Office of Deputy Director of Mines, Jajpur (**'Demand Letter 1'**), raising a demand of ₹1,903 crore, in connection with revised assessment of shortfall in dispatch of minerals from the Company's Sukinda Chromite Block, for the 4th year in terms of Mine Development and Production Agreement (i.e., July 23, 2023 through July 22, 2024) in alleged violation of Rule 12-A of the Minerals (Other than Atomic and Hydro Carbons Energy Minerals) Concession Rules, 2016 (**'MCR 2016'**).

Further, on October 3, 2025, the Company received another Demand Letter issued by the Office of Deputy Director of Mines, Jajpur (**'Demand Letter 2'**), raising a demand of ₹2,411 crore, in connection with assessment of shortfall in dispatch of Chrome Ore from the Company's Sukinda Chromite Block, for the 5th year in terms of Mine Development and Production Agreement (i.e., July 23, 2024 through July 22, 2025) in alleged violation of Rule 12A of the MCR 2016.

The Company challenged these demands before the Hon'ble High Court of Orissa (**'Hon'ble High Court'**) by filing two separate Writ Petitions for Demand Letter 1 and Demand Letter 2 on August 8, 2025 and October 29, 2025, respectively. The Hon'ble High Court stayed the demands and heard the Writ Petitions over several occasions during August 2025 through February 2026.

On April 20, 2026, the Hon'ble High Court pronounced the Judgement for both the Writ Petitions. In terms of the

Judgement, the Hon'ble High Court disposed of both the Writ Petitions, with certain directions and conclusions.

Based on the conclusions and directions passed by the Hon'ble High Court in its judgement, the Company believes that the Demand Letter 1 and Demand Letter 2 issued by the Office of Deputy Director of Mines, Jajpur stands quashed to the extent they are contrary to the conclusions and directions passed by the Hon'ble High Court.

e) On December 19, 2025, Stichting Frisse Wind.nu (**'SFW'**) issued a writ of summons on two subsidiaries of the Company, viz., Tata Steel Nederland B.V. and Tata Steel IJmuiden B.V. (jointly **'TSN'**). SFW has initiated a collective action against TSN under the Dutch Act on Collective Settlement of Mass Claims (**'WAMCA'**) before the District Court of North-Holland at Haarlem, on behalf of local residents living in the vicinity of TSN. The proceedings pertain to allegations by SFW holding TSN liable for alleged damages caused by its operations in Velsen-Noord which led to emissions of hazardous and/or harmful substances. SFW under WAMCA has sought compensation of approximately EUR 1.4 billion on account of increased susceptibility to various health issues and loss of enjoyment of living.

The Company believes that the allegations by SFW are unsubstantiated and speculative. The proceedings under the WAMCA regime will be conducted in two phases- admissibility and merits, each expected to take approximately 2 to 3 years to conclude and thus no immediate financial implication on the Company is anticipated.

E. Sustainability

1. Sustainability and Climate Change

Over the years, Tata Steel has embedded sustainability at the core of its business strategy, aligned with the Tata Group's 2045 net-zero emissions goal and the overarching Project Aalingana. Tata Steel marked a major milestone and advanced its decarbonisation pathway with progress on the 0.75 MTPA scrap-based Electric Arc Furnace (**'EAF'**) plant in Ludhiana, Punjab, India. Tata Steel Jamshedpur and Tata Steel Meramandali continued regular use of biochar and the Metaliks division achieved a breakthrough by charging 60 tonnes of bamboo-based biochar into the blast furnace, enabling a ratio of 1:1 fossil-fuel replacement.

The Company continued its shift towards usage of renewable power, accelerated by the commissioning of the 198 MW wind power facility at Karur in partnership with Tata Power Renewable Energy Limited. At the World Economic Forum, Tata Steel and the Government of Jharkhand signed a Letter of Intent and MoU to invest ~₹11.1 billion in next-generation green steel technology.

To achieve its net-zero target by 2045, Tata Steel is advancing towards low-carbon ironmaking technologies through HIsarna, a direct smelting process designed to reduce CO_2 intensity and deliver Carbon Capture Utilisation & Storage-ready flue gas, with a 1 MTPA demonstration plant planned at Jamshedpur, and EASyMelt, an electric-assisted syngas smelting technology being developed with SMS group, offering reduction in emissions up to 50%.

Under the Indo-Sweden Industry Transition Partnership, Tata Steel has secured funding for two projects which focus on microwave plasma conversion of blast furnace gas and metal recovery from slag with development of cement substitutes. The Company continues its pioneering focus on nature stewardship, through the publication of its inaugural Taskforce on Nature-related Financial Disclosures aligned to Nature Report and declaration of the Sukinda Ecorace project as a Nature-based Solution validated by International Union for Conservation of Nature, both of which are a first within Tata Group. Five new site-specific Biodiversity Management Plans are also under preparation in collaboration with external ecological experts to enhance biodiversity management across India sites.

The Company further reinforced its global Environmental, Social, and Governance (**'ESG'**) commitment by completing the ResponsibleSteel™ recertification for Jamshedpur and surveillance audits for its operations at Meramandali and Kalinganagar. In the area of mining, the Noamundi Iron Mine received a 7-Star Rating, while Joda East and Khondbond mines earned 5-Star Ratings from the Ministry of Mines, Government of India.

In the Netherlands, TSN continues to advance its climate transition objective through the continuous development of the Green Steel Project, a key element of its long-term strategy. During FY2025-26, progress was made on engineering, permitting and preparatory work to enable the construction of a Direct Reduced Iron (**'DRI'**) plant and an EAF, marking its first major step in the transition away from coal based steelmaking at the IJmuiden site.

In September 2025, Tata Steel Limited and the Dutch government signed a non-binding Joint Letter of Intent ('JLoI') which explores a framework for transitioning to low CO_2 steel production, with the Dutch Government intending to provide support of up to €2 billion for phase one. As part of the JLoI TSN plans to decarbonise its operations by decommissioning Blast Furnace #7 and Coke & Gas Plant 2 and replacing them with a DRI Plant which will operate initially on natural gas and an EAF with higher scrap usage, which together are expected to reduce scope 1 CO_2 emissions by approximately 5.4 MTPA, with further reductions of around 0.6 MTPA through Carbon Capture and Storage and up to 1.2 MTPA through the phased use of biomethane and/or hydrogen. TSN will also implement measures to improve the local living environment by reducing dust, NOx, SO_2, odour, and noise through infrastructure enclosures and mitigation initiatives. Additionally, TSN aims to improve slag processing methods and increase scrap intake from 17% to 30% to enhance circularity.

TSN aims to achieve Net Zero Scope 1 and Scope 2 emissions by 2045, in line with EU climate goals, while continuing to produce high-quality steel and contributing to the wider energy transition through the supply of low-CO_2 steel products.

In the UK, Sustainability continues to remain a fundamental pillar of TSUK's strategic transformation, and is crucial for ensuring the viability and future of steelmaking in the UK. TSUK supported the low-carbon economy through the supply of steel for renewable energy infrastructure, electric vehicles, sustainable buildings, and recyclable packaging, while also promoting responsible use of resources, circularity, product sustainability and community resilience. Further, TSUK contributed to sustainable development with its new innovative product - Catnic SolarSeam®, a bonded photovoltaic solution that delivers efficient renewable energy without visible frames and is guaranteed to operate for 25 years.

During FY2025-26, TSUK progressed its £1.25 billion transition to low-CO_2 steelmaking, supported by a grant from UK Government, and centred on the development of a large-scale electric arc furnace. Key milestones were achieved in planning, technology selection, partnerships, and customer agreements for low-emission steel. The sustainability priorities for TSUK focused on accelerating decarbonisation, maintaining high standards of safety and environmental stewardship, and developing a skilled, future-ready workforce.

TSUK continued its progress with the Zero Carbon Logistics programme which helped in reducing transport related emissions. Opportunities to deploy biofuels such as Hydrotreated Vegetable Oil (**'HVO'**) were assessed and trials were conducted for customer deliveries from the Shotton site to destinations in the Netherlands and Belgium. During the year under review, more than 70 on-site vehicles at Shotton operated fully on HVO, as an alternative to conventional diesel and some onsite vehicles transitioned to fully electric. HVO was also adopted for on-site vehicles at the Catnic site in Caerphilly. In parallel, TSUK worked closely with potential hydrogen providers in South Wales and monitored the HyHaul project, which aimed to develop hydrogen refuelling infrastructure along the M4 corridor at UK.

2. Environment

Tata Steel remains firmly committed to environmental excellence, continuously strengthening its environmental performance and advancing responsible stewardship across its operations. The Company's vision for a sustainable future is rooted in the pursuit of zero harm, resource efficiency, and a robust circular economy, all while minimising the ecological footprint and nurturing communities and workforce. The Company is dedicated to environmental protection and the responsible utilisation of natural resources, guided by comprehensive corporate policies on climate change, environment, and energy. The Company has a robust governance system, overseen by the Safety, Health and Environment Committee of the Board which provides essential guidance on global environmental matters.

Tata Steel is advancing towards its goal of achieving Net Zero emissions across its global operations by 2045, and is also committed to adopting eco-friendly processes, leveraging advanced technologies, and integrating global best practices for sustainable growth. The Company is committed to replenish freshwater and achieving zero waste to landfill for its India operations by 2030.

During FY2025-26, Tata Steel advanced its commitment to sustainable water management through a comprehensive Reduce–Recover–Recycle–Reuse strategy across all its sites by focusing on minimising freshwater consumption and enhancing treated water reuse. Key initiatives include increased recovery of treated wastewater from township sewage treatment plants and commissioning of the Biological Oxidation Tertiary Treatment Plant at the Coke Plant in Jamshedpur. Further the Company enhanced stormwater and treated effluent recovery at Kalinganagar through Central effluent treatment plant improvements and commissioning of the Coke Oven Effluent Treatment Plant. At Meramandali, Zero Effluent Discharge and rainwater harvesting projects were implemented to reduce freshwater demand. At Gamharia, the storage stump interlocks have been automated to prevent water losses. The Company has made efforts across all its locations in India to measure and control water losses. Collectively, these actions demonstrate the Company's integrated, technology-driven approach to water stewardship, strengthening water efficiency, resilience, and long-term resource sustainability.

The Company continues to invest in advanced air pollution control technologies and energy-efficient operations to maintain and constantly enhance the ambient air quality around its facilities. This science based approach encompassing real-time monitoring, emission source tracking, AQI tracking, and control of fugitive emissions has resulted in significant reductions in stack dust emissions across the Indian operations of the Company.

Innovation at Tata Steel enables the reuse and recycling of over 99% of waste generated, embedding circular economy principles into core operations. This industry-leading performance underscores Tata Steel's commitment to responsible resource management and advances the goal of Zero Waste to Landfill, aligned with Tata Group's Project Aalingana.

In the Netherlands, during FY2025-26, TSN continued its focus on improving environmental performance, with emphasis on reduction of emissions, regulatory compliance and the preparation of structural environmental upgrades linked to the Green Steel Project. Phase 1 of the Green Steel Project is expected to deliver significant CO_2 reductions, structural improvements in local environmental performance through the replacement of coal-based processes. In addition to this, as a part of the Green Steel Project and related environmental programmes, TSN has identified planned improvements such as coverage and enclosure of selected ore fields, scrapyards, windbreakers and related measures to reduce dust emissions from raw material handling which would be implemented in a phased manner subject to necessary approvals and agreements. The Roadmap+ programme remained the key framework for environmental action which targeted dust, noise and odour reduction along with reduction in emissions of substances of concern, supported by enhanced monitoring, strengthened governance and continued engagement with regulators and local stakeholders.

A key area of progress during the year under review was the further development of large scale nitrogen oxide (NOx) reduction measures. This included the DeNOx installation linked to the Pellet Plant, designed to deliver an estimated 80% reduction in NOx emissions once commissioned. TSN has also been developing a Biodiversity Policy during the year under review and planned a biodiversity risk and impact assessment with anticipated structural benefits linked to the Green Steel transition.

In the UK, with the successful decommissioning of the blast furnace assets in 2024, TSUK has made a significant progress in developing its low-CO_2 steelmaking infrastructure. As a part of TSUK's green transformation journey, it commenced construction of UK's largest low-carbon steel making facility in Port Talbot. This state-of-the-art Electric Arc Furnace is expected to reduce direct carbon emissions by approximately 90% in Port Talbot. TSUK maintains ISO 14001:2015 certification for environmental management systems at its main sites and continues to certify its products to the BES6001 sustainability standard.

3. Health and Safety

Tata Steel remains committed to fostering a strong health and safety culture, aiming for zero harm and setting industry benchmarks. Safety and Health Management are integrated into the Company's annual business plan, ensuring accountability at all levels across the organisation. Governance is driven by the Safety, Health, and Environment (**'SHE'**) Committee of the Board, with oversight from the Apex Safety Council, chaired by the Chief Executive Officer & Managing Director.

At Tata Steel, an ISO 45001:2018 aligned management system connects policy, strategy and frontline execution, while digitised risk registers enables systemic risk management by identifying hazards, validating critical controls and maintaining focus on high-consequence scenarios. The Company strengthened its safety leadership through structured shop-floor engagement, capability-building programmes, and fair reward and consequence mechanisms. Capability building at Tata Steel is driven by the Safety Leadership Development Centre and Practical Training Centre, having refreshed curricula on high-potential scenarios, Kiken Yochi Training (KYT) for hazard prediction, and programmes on mindfulness decision-making for supervisors. The Company has embraced digital innovations with the introduction of various initiatives such as the Safety Lens, Tata Digital Assistant and AI-enabled CCTV which has enabled the Company with AI-assisted safety observations, data accuracy and reporting quality. The governance cadence has been refined through Performance Improvement Team which was reconstituted for cross-site learning, and generation of weekly insights using Gen-AI.

During FY2025-26, early-warning alerts were introduced for critical parameters in LD Shops and Blast Furnaces. Tata Steel also strengthened the Pre-Startup Safety Review (**'PSSR'**) standard supported by guidelines for explosion-proof control rooms, flare-stack operations, upgraded gas safety systems, structural-integrity assessments, and hydrogen-readiness training. The digital linkage of Project Hazard PSSR have progressed to ensure safe start-up of new facilities.

Tata Steel has significantly enhanced its road and rail safety through targeted traffic-management, reduced vehicle in/out cycle times, digital support for yard discipline, paperless weighbridge processes, and strengthened speed control and surveillance along rail corridors-standardised via cross-site logistics workshops. Contractor safety is advanced through parity of protection via a common Personal Protective Equipment platform, a redesigned Vendor Star Rating for cadence and transparency, digitised sub-vendor onboarding for traceability, and skill certification for high-risk jobs.

Emotional well-being and occupational health continues to be the topmost priority of the Company. The Company places focus on industrial hygiene and ergonomics programmes across locations. Emotional well-being support has been deepened through the Employee Assistance Programmes. The Company also employs services of physical counsellors, along with telephonic and chat-based counselling services. It has undertaken programmes for developing emotional first aiders and launched targeted campaigns to promote psychological safety, complemented by wellness recognition initiatives with the involvement of joint workforce committees.

Fatality at workplace is the foremost safety concern of the Company. It is with deep regret that we report eight fatalities in Tata Steel India operations. With the expansion of the footprint in India, we have to prioritise safety and be firmly committed to zero-harm across locations. We are strengthening our processes, deploying technology, and deepening awareness to ensure highest standards of safety.

To nurture a positive safety culture, the Company continues to recognise and encourage safe behaviours and contributions from workforce, fostering continuous improvement in Health & Safety.

In the Netherlands, Health & Safety remains a top priority reflecting the inherent risks of large scale integrated steelmaking and the need for robust control during a period of significant operational change. In October 2025, TSN launched a dedicated Health, Safety and Environment Turnaround Programme (**'HSE programme'**), prioritising the Health & Safety governance, compliance and execution across the organisation thereby supporting the License to Operate for TSN and safe execution of its major projects, including the Green Steel Project. The HSE programme aims to reinforce regulatory discipline, improve transparency and strengthen capabilities in both process safety and occupational safety. Key elements of the HSE Programme include clearer roles and accountabilities, enhanced oversight of safety critical-risks and a stronger emphasis on measurement quality, monitoring and incident follow-up. TSN has also established safety programmes such as TrueSafe, strengthening incident investigation, contractor safety management resulting into visible leadership engagement.

In the UK, TSUK continues to operate its internal 15-Principle Health and Safety Management System, and has progressed towards achieving ISO 45001:2018 certification with five business units having obtained the certification compared to three in the previous fiscal year. TSUK also continued to strengthen its Health, Safety and Environment culture through various initiatives including the implementation of a new Health Safety Sustainability and Environment culture survey aligned with the ISO principles and the continuation of FELT Leadership safety training. At TSUK, health and safety performance improved during the year under review, with total accidents reduced by 20% compared to previous year and Lost Workday Cases reduced by 9%. It is nevertheless with deep regret that TSUK reported a fatal incident to an employee at its Corby works in January 2026. In process safety, the key focus was the completion of hazard studies to support the safe design and construction of new assets, including the Electric Arc Furnace.

4. Research and Development

Tata Steel's Research & Development (**'R&D'**) function continues to serve as a strategic driver of sustainability leadership and competitive strength for the Company. The R&D efforts focus on developing high-performance, environmentally responsible products while reducing carbon footprint and improving process efficiency across the value chain.

Tata Steel, in collaboration with a fuel-oil manufacturing start-up, successfully developed and implemented a biofuel for blast furnace injection, replacing carbon-emitting Low Sulphur Fuel Oil after rigorous lab, pilot and phased plant trials. The successful establishment of biofuel injection offered a reduction of approximately

100 kg of CO_2 per ton of hot metal. During the year under review, the Company also developed and patented a combustion accelerant based process to enhance coal combustibility in BF-PCI and DRI operations by lowering ignition temperature and improving carbon utilisation. Commercial trials demonstrated a 6.5% reduction in coal consumption in DRI kilns with just 1% additive dosing and a 2–2.5 kg/ton hot metal fuel-rate reduction in blast furnaces, promising lower cost and carbon-footprint.

In September 2025, under the 'One Tata Steel' initiative, the establishment of Tata Steel Research and Innovation Limited (**'TSRIL'**) marked a significant and pivotal step in centralising and accelerating advanced R&D. TSRIL, a subsidiary of TSUK, operates from the UK and provides R&D benefits to Tata Steel Limited, TSUK and other Tata Steel Group Companies. TSRIL functions as an agile, asset light innovation hub, optimising returns through efficient resource deployment and strong collaboration with leading universities and research institutions.

Accelerating the Development of Automotive and Packaging Steel Technology for EAF production (**'ADAPT-EAF'**), a flagship research initiative in Low Carbon Green Steelmaking, was launched to develop next-generation, high-performance steels for automotive and packaging applications using Electric Arc Furnace (**'EAF'**) technology. The Company has entered into collaborative projects for ADAPT-EAF with the University of Cambridge, Imperial College London, and the University of Warwick, to reinforce Tata Steel's ambition to lead green steel innovation in the UK. This initiative addresses challenges related to residual elements in high-recycled-content steel. An AI-enabled platform is being developed to predict scrap-related impacts on steel quality, supported by rapid alloy prototyping and testing to design EAF-optimised steel grades. This will strengthen TSUK's capability to produce high-quality, low-carbon steel domestically while enabling group-wide knowledge sharing.

In India, Tata Steel achieved a major milestone by successfully completing plant trials for advanced high-strength steel grades Dual Phase (DP) 980 and DP 1180. These grades are crucial for the automotive sector as they directly support the 'Make in India' and 'Atmanirbhar Bharat' initiatives thereby reducing dependency on imports.

During FY2025-26, Tata Steel significantly expanded its intellectual property portfolio by filing 139 new patent applications, focused on technological advancements throughout the steel value chain. Tata Steel, while prioritising the protection of its new inventions, successfully obtained 71 patent grants in FY2025-26 from patent applications filed in prior years. The Company highlighted strong portfolio management practices and high patent grant success rate which was recognised by Tata Steel's inclusion in the ASIA IP Elite 2025, making it the only Indian manufacturing company to receive this distinction.

In the Netherlands, TSN continued to collaborate with external partners on fundamental and applied research to drive innovation and accelerate the development of new technologies. The most important future oriented focus areas are the development and implementation of new processes, particularly Direct Reduced Iron and Electric Arc Furnace technologies, as well as product development aligned with these new installations. During FY2025-26, TSN was linked to ~80 Ph.D. and postdoctoral research positions with prominent Dutch technical universities such as Delft, Twente and Eindhoven including government supported Growing with Green Steel consortium which focused on green steel transition. In FY2025-26, first successful melt was delivered out of scrap melter which was built in-house by TSN in collaboration with Growing with Green Steel consortium and so far approximately 17 melts have been done.

TSN focussed towards enhancing R&D and applied the learnings to advance digital technologies and data-driven solutions to support sustainability objectives and enhance operational efficiency and performance.

In the UK, research activities in TSUK continued in line with the strategic technology roadmaps through four core thematic areas focusing on scrap, slag and secondary metallurgy, materials design and process modelling, end product design and application, and coatings and laminates. Further, in order to leverage the best in research and development, TSUK closely collaborated with universities and Research and Technology Organisations in the UK. During FY2025-26, TSUK maintained robust portfolio of 196 patents across 33 patent families, 432 trademarks within ~207 trademark families, and 6 designs in 3 design families. In FY2025-26, TSUK had filed for 8 patents out of which 6 were granted to it.

5. New Product Development

In FY2025-26, Tata Steel developed 81 new products across various segments, supported by product quality assurance, proactive customer engagement, and extended technical assistance, all aimed at enhancing customer satisfaction and operational excellence.

Cold Rolled and Coated Products: Tata Steel's product portfolio now includes Bake Hardening (BH) steels

(BH180, BH220), offering exceptional formability, superior in-service strength, and enhanced dent resistance, tailored for Indian conditions. The Company has also developed high-strength interstitial-free (IFHS) steels (IFHS390, IFHS440), significantly expanding its offerings for automotive panel segments. For critical safety components, the Company has developed C-Mn440, HSLA420, and CQ590 grades to bolster Company's product offerings with materials designed for improved crash resistance. To meet the demands of lightweighting and superior crash performance, the Company has developed a comprehensive family of Advanced High-Strength Dual Phase (DP) steels (DP590, DP780, DP980, DP1180) and secured approvals from major automotive customers. Furthermore, towards its commitment to sustainability, Tata Steel has developed multiple secondary coatings with Cr+3 and Cr-free passivation, eliminating carcinogenic hexavalent chromium and ensuring products meet stringent Restriction of Hazardous Substances norms with improved service life.

Shipbuilding Excellence: At the Kalinganagar Hot Strip Mill, the Company has successfully developed advanced steel grades designed for the most stringent shipbuilding applications. These materials meet critical requirements for strength and toughness at low temperatures. Tata Steel's capabilities have been validated by international approvals, including four grades (B, D, AH36, DH36), leading to commercial supplies to major shipbuilding customers. Additionally, the Company has secured Det Norske Veritas approvals for three grades (NVA, NVB, NVA36).

Oil & Gas Solutions: Tata Steel's advanced line pipe steel solutions are driving innovation in the Oil & Gas sector and pioneering green energy infrastructure by commercially supplying HSAW and LSAW/X60 grades for naphtha pipelines, meeting stringent fracture toughness at -25°C and -29°C respectively. Further, the Company has successfully produced and commercially supplied X65 Sour grade and X52 Sour grade to the Middle East and North Africa region. Additionally, Tata Steel's capability to produce API X65 Sour and API X65 grades specifically for 100% hydrogen transportation at 200 bar pressure, has strategically positioned the Company at the forefront of future green energy solutions.

General Engineering, Construction, and Projects: Tata Steel has developed the S700MC grade, a high-strength, high-toughness steel guaranteed for impact at -40°C. This critical material is vital for demanding applications, such as hanging platforms in arctic regions. Additionally, the Company produces high-strength steels of YST450 and YST550 variants tailored for solar mounted structures, supporting renewable energy infrastructure with durable and efficient materials. In the Long Products segment, the Company has marked a significant achievement with the development of 50 new products, 6 of which are 'First-Time-in-India' products.

In the Netherlands, during FY2025-26, TSN successfully launched and commercialised 12 new products and services across Automotive, Engineering, Packaging, Construction and Building Systems. Automotive innovations included (i) extension of the Full Finish portfolio with galvanised CR270BH, the strongest full finish grade, offering increased strength and improved dent resistance and (ii) introduction of Fuchs Advanced Tribo Primer Boosterlube, improving stamping performance in customers' press shops. TSN launched a 25 mm extension of its 'S235 Thicker and Stronger' product range, designed for use in heavy vehicles, machinery applications and engineering applications. Additionally, Protact-TCCT TH550, a thin and wide material for food cans with direct seal, increased width for aerosol bottom applications and strong buckle and burst performance was introduced for packaging material. A Green Roof system was launched for building systems. Additionally, a 'Take Back' service was introduced for product use after 20 - 40 years, supporting circularity. TSN also introduced Next Generation Magizinc which improved flexibility and surface quality and launched Colorcoat SDP35 on ZM120 with reduced zinc weight, supporting customers' sustainability performance in the Colors segment. The Tubes segment witnessed extension of high strength piling tubes in the 10 mm thickness range for unstable soils and the launch of the Contiflo tube with improved, more environmentally friendly coatings and enhanced corrosion resistance.

In the UK, during FY2025-26, TSUK retained a healthy pipeline of new product developments, each making progress in its journey, while focusing on embedding it's reroller model across its existing range of new and differentiated products. The Company ensured that its imported substrate meet its customer expectations in the UK and export markets while upholding the commitment of TSUK to sustainability, in-service performance guarantees, and rigorous product assessment standards. TSUK continues to focus on strengthening its market position by developing, testing and supplying low embodied carbon versions of the existing products by using third party EAF substrate underpinning its transition to the new EAF steelmaking in the UK.

6. Customer Relationship

During FY2025-26, Tata Steel marked a clear step-change in its approach to customer relationships shifting from engagement led initiatives to deep, solution-oriented partnerships anchored in capability, innovation and digital & AI enablement. The reporting fiscal was characterised by domestic demand resilience and global volatility, during which the Company continued to reinforce trust, relevance and value delivery across customer segments.

Strategic Investments supporting customer value

The Company reinforced its production and service infrastructure with key capacity additions such as the Continuous Annealing Line which enabled increased localisation and scaling up of advanced automotive grades. The Galvanising Line at Kalinganagar and Combi Mill at Jamshedpur were commissioned which produced commercial output, strengthening Tata Steel's ability to supply application-specific and value added steels. FY2025-26 marked an important milestone in Tata Steel's transition towards sustainable steelmaking with the inaugration of its scrap-based Electric Arc Furnace (**'EAF'**) at Ludhiana, Punjab, India. The EAF is engineered for CO_2 emissions of less than 0.3 tonnes per tonne of steel, and strengthened Tata Steel's low-emission pathway while reinforcing long-term alignment with customer priorities and sustainability imperatives.

Strengthening Automotive, Engineering and Strategic Sector Partnerships

At Tata Steel, customer engagement in automotive segments deepened through increased localisation of advanced grades, supported by a growing portfolio of Advanced High Strength Steel, Ultra High Strength Steel, Forging quality steel along with multiple Original Equipment Manufacturer approvals. These capabilities enabled customers to meet safety, lightweighting and performance requirements with greater supply assurance. To further enhance service experience, Tata Steel introduced a real time mixed reality customer support solution for automotive customers, enabling experts to remotely assess issues in 3D and collaborate directly within customers' production environments, thereby significantly improving speed of resolution and operational alignment.

During FY2025-26, in addition to the automotive segments, Tata Steel strengthened its presence across strategic, future-oriented segments, including shipbuilding and defence-related applications, supported by international certifications that enabled the Company to participate in higher-spec and global orders with stringent quality and reliability requirements. The Company entered into a partnership with a state-of-the-art processing facility in the northern region which further enhanced serviceability and customer engagement in the appliances segment. In parallel, the Company expanded its footprint in renewable energy, consumer durables and capital goods, driven by targeted product approvals and the commercialisation of innovative offerings such as poly-coated steel and advanced high-strength grades. Through dedicated customer service teams and structured programmes such as Wired2Win, VAVE, EVI and Building Bonds, Tata Steel deepened co-creation and capability-led performance improvement across the value chain, complemented by expanded service-centre reach and tighter integration with customers' development and sourcing processes.

Construction and Infrastructure: An Integrated Execution-Led Proposition

During FY2025-26, customer relationships in construction and infrastructure increasingly evolved from material supply to execution certainty. Tata Steel strengthened this engagement through an integrated model that combined fabrication capability, downstream processing, service centres and differentiated execution solutions. The downstream value-added portfolio was further enhanced through acquisition of 100% equity stake in Tata Steel Colors Private Limited (erstwhile Tata BlueScope Steel Private Limited), which expanded roofing and wall-cladding solutions to address the growing demand for aesthetically superior products in the retail segment, while also supporting infrastructure requirements across sectors.

During FY2025-26, plate-fabricated construction solutions scaled up, serving over 11 major infrastructure projects, supported by an expanded fabrication and processing network. These capabilities improved responsiveness to complex project requirements and reinforced Tata Steel's position as a trusted partner for high-value infrastructure and industrial developments, including data centres, airports and power plants.

Execution-focused innovations further strengthened this proposition. The InQuik modular bridge system, a globally proven rapid-construction solution, achieved a key milestone with successful deployment in India, demonstrating its potential to significantly compress construction timelines. The Mobile Bore Pile Cage, a first-of-its-kind on-site solution, addressed critical foundation stage challenges by enabling faster, safer and more consistent pile-cage fabrication at project sites. Complementing these initiatives, solution-led downstream offerings such as Ready Build and Sm@rtFAB continued to gain traction, reflecting a growing customer preference for execution ready models that reduce complexity and improve delivery outcomes.

Sustainable Solutions and Value-Added Offerings

Tata Steel advanced low-carbon, energy efficient and future-ready solutions through Nest-In, including the delivery of a Zero Energy Building and 100+ Light Gauge Steel Frame Anganwadi centres, reinforcing its commitment to sustainable construction. These sustainability-linked offerings deepened customer partnerships by integrating speed of execution, structural durability and lower lifecycle impact into construction outcomes.

In the packaging segment, trial production of DoS-A coils further strengthened Tata Steel's sustainability proposition by enabling potential savings of ~6 litres of water per drum manufactured, reinforcing long-term customer relationships through shared value creation.

Experience, Transparency and Ecosystem Enablement

As customer engagements widened, experience and transparency became key differentiators. Digital platforms strengthened ease of interaction and visibility across segments. Aashiyana continued to evolve as a content-to-commerce ecosystem for individual home builders, while DigECA expanded digital engagement with Emerging Corporate Account (**'ECA'**) customers through end-to-end visibility and integration. Platforms such as COMPASS Nxt for B2B customers and SmartTrack for Tata Pravesh embedded real-time visibility, faster service response and intuitive engagement interfaces into everyday customer interactions. TSL Cares, the GenAI-enabled complaint management platform, progressively emerged as the preferred channel for service resolution, strengthening responsiveness and enhancing customer confidence. Complementing these, Techlab - India's first mobile rebar testing unit, further reinforced customer assurance through transparent, on-site quality validation.

Alongside digital enablement, sustained capability-building initiatives such as Create, Techtalk, Skilling India, insIITe, and PAG interventions benefitted over 3,500 SME customers and over 4,500 masons, fabricators, influencers and channel partners. These interventions strengthened correct application practices, safety awareness and on-site productivity, helping ensure that value delivery consistently met customer expectations.

In the Netherlands, TSN strengthened its customer proposition by focusing on the reliable supply of high-quality steel and long-term market-specific partnerships, tailored to market needs. The commercial strategy of TSN emphasises on stability, and expertise, thereby positioning the Company as a trusted partner, more specifically in applications where material performance is critical for operational continuity, safety and long-term asset value. Customer engagement is embedded in the functioning of TSN and is supported through direct dialogue, satisfaction surveys, complaint management and joint workshops and partnerships (including R&D trials). This enables alignment with the customer requirements and growing demand for responsible production and sourcing. During the year under review, TSN's focus on broader stakeholder engagement related to the Green Steel Project enhanced transparency, reinforced customer confidence & market position and helped integrate expectations into decision-making.

In the UK, TSUK advanced strategic growth through product innovation and stronger customer partnerships, supporting major projects across building systems, engineering, automotive, and distribution businesses, including advanced ComFlor® composite floor decking solutions, which enabled the securing of high-profile projects such as the Luton Airport Pheonix MSCP2 and the Qiddiya Speed Park Track. Collaborative development initiatives and a new EAF-focused automotive and packaging steel technology programme strengthened customer-aligned R&D.

During FY2025-26, TSUK made substantial progress in advancing sustainability and increased supply of low-carbon steel solutions across construction, automotive, and packaging sectors. Progress was made in reducing emissions, increasing renewable energy use, and advancing circularity initiatives, reinforcing its role as a key partner in customers' decarbonisation pathways. TSUK offered market-leading product solutions and received accolades for innovation.

Building Systems UK supplied Optemis® Carbon Lite to major London projects, while Colorcoat advanced low-carbon leadership through certifications, industry recognition, and enhanced product durability. The Packaging and Automotive sectors focused on low-CO_2 solutions, higher recycled content, emissions reduction, and scrap circularity, positioning Tata Steel UK as a key sustainability partner. Catnic GmBH transitioned to 100% renewable electricity, reduced Scope 1 and 2 emissions, and progressed bio-engineered insulation solutions for future products. Catnic's SolarSeam renewable solution gained market traction through a partnership in social housing scheme. The Surahammar electrical steel plant secured three automotive projects and initiated strategic investments to further enhance product quality for automotive applications. The Tubes business developed fully normalised pipe solutions across the Corby and Hartlepool sites strengthening product differentiation and delivering consistent, high-performance outcomes. Several sites also received industry recognition for innovation and sustainability.

7. Digital Transformation

Tata Steel continues its accelerated journey towards becoming a digitally empowered, data and AI enabled, future-ready enterprise. During FY2025-26, the Company strengthened its Industry 4.0 foundation through large-scale AI adoption, enhanced data governance, and integrated digital operations across geographies. Some of these initiatives which collectively enabled measurable improvements in productivity, cost efficiency, and operational resilience are as follows:

AI Adoption and Engagement: In FY2025-26, Tata Steel significantly expanded the use of Narrow (a mathematical AI running on large datasets like Operations and Forecasting) and Generative AI (a creative, conversational, language-based medium) across the value chain. The Company deployed 860 models and agents globally covering machine learning, optimisation, deep learning and autonomous agents to enhance employee and customer experience, safety, and business automation. The adoption of over 300 agents led to improvements across business processes including invoice processing, audit functions, commercial intelligence and personalised day-to-day human resource activities.

AI Enabled Decision Support: During FY2025-26, Tata Steel Digital Assistant (**'TDA'**), a secure, in-house AI platform providing governed access to employees, was upgraded to an agentic architecture. The enhanced TDA allows employees to perform complex tasks by combining multiple data sources while ensuring strong data security and privacy. The Company invested in customised architecture to align models with underlying organisational knowledge and business context with sustained usage expected to further improve contextual understanding and personalised outcomes. Tata Steel advanced its AI-ready data strategy and achieved 98% standardisation of key data and KPI definitions across major units, and deployed the Data and Analytics Target Operating Model ('**DATOM**') framework globally to assess data maturity through evidence-based dip-checks. AI was also embedded into core management processes, transitioning leadership KPI reporting from manual to system-driven mechanisms.

Manufacturing Excellence: During FY2025-26, Tata Steel has significantly progressed towards manufacturing excellence through AI-enabled Remote Operations & Maintenance which continues to evolve into strategic assets, enabling predictive, real-time management of critical assets and AI assisted autonomous operations.

Customer Experience: The Company has achieved a strong sales performance through its digital platforms, amounting to approximately USD 1 billion. Tata Steel is in the process of deploying Unified Customer Service Agent, a first in the steel industry, for better client servicing.

Functional Excellence: Functional excellence was sustained through the Company's long-term initiatives in supply chain optimisation, spares and repairs management, and inventory reduction, which continued to deliver meaningful value. A major step towards the vision of 'One Tata Steel' was the successful harmonisation of technology platforms across India, Netherlands and the UK with the migration of Tata Steel UK's SAP system to India being a key milestone. Integrated operations were further strengthened through enhanced cybersecurity, unified SAP landscapes, and the adoption of common digital standards across geographies.

The Company maintains strong digital leadership across data, AI, automation, and integrated IT architectures recognised by Gartner for six consecutive years. Our WEF Global Industry Lighthouse sites at IJmuiden, Kalinganagar and Jamshedpur account for 78% of steel production, delivering sustainable value creation, cost efficiency, and organisational agility.

8. Corporate Social Responsibility

The objective of the Company's Corporate Social Responsibility (**'CSR'**) initiatives is to improve the quality of life of communities globally through long-term value creation for all stakeholders. The Annual Report on CSR activities, in terms of Section 135 of the Companies Act, 2013 and the Rules framed thereunder, is annexed to this Report as **Annexure 1**. The Company's CSR policy provides guidelines to conduct CSR activities of the Company as well as provides governance mechanism for the same. The salient features of this Policy form part